Shahba Bank

INTERNAL AUDIT REPORT

Q1 - 2025

بنك شهبا

تقرير التدقيق الداخلي

الفصل الأول عام ٢٠٢٥

To the Audit Committee Members:

- Mr. Fahed Assali
- Mr. Chahan Semerjian
- Ms. May Kayali

إلى أعضاء لجنة التدقيق:

- السيد فهد عسلي
- السيد شاهان سمرجيان
- الآنسة مي كيالي

CC:

- Mr. Ramez jaroueh, Chairman of the Board
- Mr. Karam Bechara, General Manager

نسخة إلى السادة:

- السيد رامز جروه، رئيس مجلس الإدارة
- السيد كرم بشارة، المدير العام

Prepared by:

- Talal Aboulchamat, Head of internal Audit.

Reflects status of the Bank as at March 31, 2025 - Report issued on June 12, 2025

أعدّ من قبل:

طلال أبو الشامات، مدير التدقيق الداخلي

هذا التقرير يظهر وضعية المصرف بتاريخ ٣١ آذار ٢٠٢٥ وصادر بتاريخ ١٢ حزيران ٢٠٢٥

INTRODUCTION

In the first quarter of 2025, we followed-up on all outstanding issues at SB. The table below shows the number of issues raised by Internal Audit, the number of issues solved by SB Management, and the number of issues that were still outstanding as at March 31, 2025.

المقدمة

في الربع الأوّل من العام ٢٠٢٥، تمّت متابعة جميع النقاط العالقة في المصرف. إنّ الجدول المبيّن أدناه يظهر عدد نقاط الضعف التي تمّت الإشارة إليها من التدقيق الداخلي، وعدد النقاط التي تمّ تصويبها، وتلك التي ما زالت عالقة حتّى تاريخ ٣١ آذار ٢٠٢٥.

PROCESS BASED AUDIT ISSUES

AGING IN MONTHS

	Q4 2024	Added	Solved	Adj *	Archived	Q1 2025	0-6	06-12	12-24	>24	Total
IT Audit											
High	3	6	0	0	0	**9**	9	0	0	0	**9**
Medium	12	3	0	0	0	**15**	8	0	0	7	**15**
Low	12	1	0	0	0	**13**	5	0	0	8	**13**
Total	**27**	**10**	**0**	**0**	**0**	**37**	**22**	**0**	**0**	**15**	**37**
Operations Audit											
High	4	1	0	0	0	**5**	1	1	0	3	**5**
Medium	30	9	2	-5	0	**32**	8	6	0	18	**32**
Low	18	4	0	-2	0	**20**	4	2	0	14	**20**
Total	**52**	**14**	**2**	**-7**	**0**	**57**	**13**	**9**	**0**	**35**	**57**
Credit Review											
High	0	0	0	0	0	**0**	0	0	0	0	**0**
Medium	1	0	1	0	0	**0**	0	0	0	0	**0**
Low	2	0	0	0	0	**2**	0	0	0	2	**2**
Total	**3**	**0**	**1**	**0**	**0**	**2**	**0**	**0**	**0**	**2**	**2**
CBoS Issues											
High	0	0	0	0	0	0	0	0	0	0	0
Medium	0	0	0	0	0	0	0	0	0	0	0
Low	0	0	0	0	0	0	0	0	0	0	0
Total	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**
High	7	7	0	0	0	**14**	10	1	0	3	**14**
Medium	43	12	3	-5	0	**47**	16	6	0	25	**47**
Low	32	5	0	-2	0	**35**	9	2	0	24	**35**
Total	**82**	**24**	**3**	**-7**	**0**	**96**	**35**	**9**	**0**	**52**	**96**

** Adjusted issues include upgraded, downgraded, merged and replaced issues*

*** Compliance based issues where the count may include the same issue recurring in several branches*

GENERAL OVERVIEW

CBoS Letters, Circulars and Decisions

During Q1 2025, CBoS sent SB two letters

- Letter no 382/16 dated January 2025, concerning the bank's practice of changing the components of the structural position from one currency to another without obtaining the approval of the Money and Credit Council and converting the unrealized accumulated profits to realized accumulated profits, the Council decided to complete the procedures for the bank's violation of the bank's practice of changing the entire components of the structural position from the UAE Dirham to the US Dollar without obtaining prior approval from the Money and Credit Council.

  The accounting treatment to be followed by the bank is not to recognize any realized profits based on the above-mentioned transaction. The Bank will continue with the mechanism that was followed by the Bank when preparing the interim financial statements prepared for publication on 30-6-2024 with regard to unrealized retained earnings.

- Letter no 1147/16 dated March 2025, CBoS inquired from SB about the accuracy of what was stated in the letter of the Bank's client Ahmad Houria (owner of the Syrian Pasta Lazara factory) since the bank granted him a part of the loan for the purpose of establishing the factory but the remaining amount of the loan was not granted to complete the production line, and after a while, the payment of the amount was requested and the factory was seized without prior notice.

Mr. Karam Bechara (General Manager)

1. لقد التزم مصرفنا بطلب مصرف سورية المركزي وقام بالتصريح عن المطلوب
2. إن الشكوى غير صحيحة وقد قام المصرف بإرسال المطلوب لمصرف سورية المركزي

نظرة عامة

قرارات وكتب وتعاميم مصرف سورية المركزي

خلال الربع الأول من العام ٢٠٢٥، أصدر مصرف سورية المركزي كتابين للمصرف:

- كتاب رقم ١٦/٣٨٢ بتاريخ كانون الثاني ٢٠٢٥، بخصوص قيام المصرف باستبدال مكونات مركز القطع البنيوي من عملة إلى عملة أخرى دون الحصول على موافقة مجلس النقد والتسليف والقيام بتحويل الأرباح المتراكمة غير المحققة إلى الأرباح المتراكمة المحققة، ارتأى المجلس استكمال اجراءات مخالفة المصرف جهة قيامه بتحويل كامل مكونات مركز القطع البنيوي من عملة الدرهم الاماراتي الى عملة الدولار الامريكي دون الحصول على موافقة مسبقة من مجلس النقد والتسليف أصولاً.

  كما ان المعالجة المحاسبية الواجب اتباعها من قبل المصرف من عدم الاعتراف بأية أرباح محققة بناء على العملية التي تمّت من قبل المصرف والمذكورة أعلاه. ويستمر المصرف بالألية التي كانت متبعة من قبله عند اعداد البيانات المالية المرحلية المعدة للنشر موقوفة بتاريخ ٣٠-٦-٢٠٢٤ وذلك فيما يخص الأرباح المدوَرة غير المحققة.

- كتاب رقم ١٦/١١٤٧ بتاريخ آذار ٢٠٢٥ استفسر المصرف المركزي من بنك شهبا حول مدى دقة ما ورد في كتاب العميل احمد حورية (صاحب مصنع باستا لازارا سورية) حول قيام المصرف بتسليم جزء من قرض ممنوح لإنشاء مصنع، ولم يتم تسليم باقي المبلغ لتتمة خط الانتاج وبعد فترة تم طلب تسديد المبلغ والحجز على المصنع دون سابق إنذار.

السيد كرم بشارة - المدير العام.

١- لقد التزم مصرفنا بطلب مصرف سورية المركزي وقام بالتصريح عن المطلوب

٢ - إن الشكوى غير صحيحة وقد قام المصرف بإرسال المطلوب لمصرف سورية المركزي

CBOS Internal Controller Reports

During Q1 2025, CBoS internal controllers issued seven reports pertaining to the review of the financial statements of December 2024 and January 2025, the compliance with circular 16/876 related to cash withdrawal transactions for the reason of salaries and wages of private sector during December 2024, January and February 2025, Banks procedures regarding e payment as well as the audit of Lattakia branch . The main observations can be summarized as follows:

1. The Bank's violation of CBoS decision which states that the Bank's deposits, placements and other financial relationships with its Group, including the securities issued by the Group, should not exceed 25% of its net equities, whereas the excess amounted to around SYP 891,709,273,109 at end of January 2025 with bank BEMO sal in Lebanon. Knowing that the exceeded excess is in the on balance sheet items.
2. Failure to comply with its internal policies and procedures with regards to retail lending, as three matured MDs were not cancelled on T24 by the branch.
3. Failure to comply with the Money and Credit Council decision no. 500, since the Bank granted banking facilities to members of the Board of Directors of the mother company.
4. Improper reporting to CBoS of net operational FX position, since differences were noted by the CBoS internal controller.
5. Failure to comply with Money and Credit Council decision no.106 related to operational risks as follows:
   - During the cash count of the main vault, the internal controller noted that unsealed bundles of cash amounting to SYP 697,500,000 were not counted.
   - The alarm system sound in the branch was soft.
   - Absence of direct communication lines linked to the civil defense.
   - Absence of glass partitions between tellers.
6. Failure to comply with Money and Credit Council decision no.1150 related to surveillance cameras,

تقارير مراقبو مصرف سورية المركزي

أصدر مراقبو مصرف سورية المركزي سبعة تقارير خلال الربع الأول من العام ٢٠٢٥ وهذه التقارير متعلّقة بتدقيق نماذج الأوضاع المصرفية عن أشهر كانون الأول لعام ٢٠٢٤ وكانون الثاني ٢٠٢٥، تدقيق التزام المصرف بالتعميم رقم ١٦/٨٧٦ المتضمن تدقيق السحوبات النقدية تحت مسمى رواتب وأجور القطاع الخاص خلال شهر كانون الأول لعام ٢٠٢٤ وكانون الثاني ٢٠٢٥ وشباط ٢٠٢٥، إجراءات المصرف بخصوص الدفع الالكتروني والتدقيق على فرع اللاذقية. يمكن تلخيص الملاحظات الرئيسية على الشكل التالي:

١- مخالفة المصرف لقرار مصرف سورية المركزي، حيث يجب ألا يتخطّى مجموع إيداعات وتوظيفات المصرف وارتباطاته المالية مع مجموعته المصرفية بما في ذلك الأوراق المالية الصادرة عن تلك المجموعة داخل الميزانية ما نسبته ٢٥% من أموال المصرف الخاصّة الصافية، حيث بلغ التجاوز حوالي ٨٩١،٧٠٩،٢٧٣،١٠٩ ليرة سورية في نهاية كانون الثاني٢٠٢٥ مع بنك بيمو اللبناني الفرنسي. مع العلم أنّ التجاوز في بنود داخل الميزانية.

٢- قصور المصرف بالالتزام بإجراءاته وسياساته الداخلية فيما يتعلق بقروض التجزئة وذلك لعدم إلغاء ثلاثة ضمانات مستحقة على نظام T24 من قبل الفرع.

٣- قصور التزام المصرف بقرار مجلس النقد والتسليف رقم ٥٠٠، لجهة منح تسهيلات من المصرف لأعضاء مجلس إدارة الشركة الأم.

٤- عدم دقّة التصريح لمصرف سورية المركزي لصافي مركز القطع التشغيلي وذلك لوجود فروق تمّ لحظها من قبل المراقب الداخلي لمصرف سورية المركزي.

٥- قصور التزام المصرف بقرار مجلس النقد والتسليف رقم ١٠٦ المتعلق بالمخاطر التشغيلية كالاتي:

- خلال عملية الجرد الفعلي للخزنة الرئيسية تبين وجود مبلغ بقيمة ٦٩٧،٥٠٠،٠٠٠ ليرة سورية موضوعة بأرضية الخزنة بدون عدّ وغير موضوعة ضمن كيس شفاف ومؤشر عليها من قبل أمين الصندوق والمفوّض بالموافقة.
- صوت جهاز الإنذار في الفرع منخفض جداً.
- عدم وجود خطوط اتصال مباشر مع الدفاع المدني.
- عدم وجود فواصل زجاجية بين أمناء الصناديق.

٦- قصور التزام المصرف بقرار مجلس النقد والتسليف رقم ١١٥٠ بخصوص كاميرات المراقبة وذلك كون الكاميرات الموجودة بالفرع تقوم بالتسجيل صورة فقط بدون صوت.

since the branch's surveillance cameras were not supported with audio recording.

7. Failure to comply with CBoS decision no.17/392 regarding the absence of advertisement in the branch to inform clients that they can count cash before they leave the branch, absence of a dedicated area for this purpose along with a counting machine and unavailability of complaints' box.
8. Failure to comply with CBoS decision no.67 related to the applied exchange rates in the bank, since the exchange rates' display screen was not operational during the internal controller's mission in the branch.

٧- قصور التزام المصرف بقرار مصرف سورية المركزي رقم ١٧/٣٩٢، فيما يتعلق بعدم وجود إعلان في الفرع لإبلاغ العملاء بإمكانية عدّ النقود قبل مغادرتهم الفرع، وعدم وجود مكان مخصص لهذا الغرض مجهز بآلة عدّ النقود وعدم وجود صندوق للشكاوى.

٨- قصور التزام المصرف بقرار مصرف سورية المركزي رقم ٦٧ والمتعلق بأسعار الصرف المطبقة في المصرف، وذلك لناحية أن شاشة عرض نشرة أسعار صرف العملات الأجنبية كانت مطفأة خلال فترة الزيارة الميدانية للمراقب المصرفي الداخلي.

Mr. Karam Bechara (General Manager)

1- We acknowledge the highlighted excess in our deposits in Lebanese banks. We've had extensive communications with the Central Bank of Syria regarding these concentrations and our inability to rectify them due to the economic conditions in Lebanon.

2- BCU and CAD always following all closed loan and we already inform branches with new instruction as attached to cancel all related MDs once the loan finished.

3- We are committed to the CBoS Decree No. 500, dated 2009. We noted that no new facilities have been granted to any of our BOD members or to the BOD members of the mother, affiliated or sister companies. The existing facilities were granted prior to the completion of ownership transfer from BBL to the new partners. Furthermore, please note that we are in comply with the requirements of said decree article nb 2/B, concerning the reduction of the bank's net equity by the value of these facilities for the purpose of calculating our bank capital adequacy ratios and all related ratios.

4- The difference between the Net operational FX position reported by treasury to CBOS under FX form 2 and our financials as of 31.12.2024 is USD 493 which is the amount for Tourist facilities (منشآت السياحية) which wasn't delivered to CBOS before 31.12.2024.

5- The large amount has received and counted as bundles, then the banknotes were counted gradually

السيد كرم بشارة - المدير العام

١- نحن ندرك التجاوز في ودائعنا مع المصارف اللبنانية. و تم اجراء اتصالات على نطاق واسع مع مصرف سورية المركزي بشأن هذه التركزات و عدم قدرتنا على معالجتها يعود للظروف الاقتصادية في لبنان.

٢- يقوم قسمي BCU وCAD دائماً بمتابعة جميع القروض المغلقة ونقوم بالفعل بإبلاغ الفروع بالتعليمات الجديدة كما هو مرفق وذلك لإلغاء جميع MDs المتعلقة بالقروض بمجرد انتهاء القرض.

٣- إننا ملتزمون بقرار مصرف سورية المركزي رقم ٥٠٠ الصادر في عام ٢٠٠٩ . حيث لم يتم منح أي تسهيلات جديدة لأي من أعضاء مجلس الإدارة لدينا أو لأعضاء مجلس الإدارة في الشركات الأم أو الشركات التابعة أو الزميلة أو الشقيقة. تم منح التسهيلات الحالية قبل اكتمال نقل الملكية من بنك بيبلوس لبنان إلى الشركاء الجدد .علاوة على ذلك، يرجى العلم بأننا ملتزمون بمتطلبات المادة رقم ٢/ب من المرسوم المذكور أعلاه، فيما يتعلق بتخفيض صافي حقوق الملكية للبنك بقيمة هذه التسهيلات لغرض حساب نسب كفاية رأس المال وجميع النسب ذات الاحترازية الأخرى.

٤- الفرق بين صافي مركز القطع التشغيلي والذي تمّ تصريح به من قبل قسم الخزينة بموجب نموذج القطع والبيانات المالية الموقوفة بتاريخ ٣١ كانون الأول ٢٠٢٢٤ هو ٤٩٣ دولار امريكي والذي يعود للمنشآت السياحية والذي لم يتم تسليمه لمصرف سورية المركزي قبل ٣١ كانون الأول ٢٠٢٤ .

٥- تم استلام مبلغ كبير وتمّ عدّه كرزم، ثم تمّ البدء بشكل تدريجي عد الاوراق النقدية خلال أيام العمل التالية بعد الحصول على

over the following working days after obtaining the necessary approvals of GM and keeping the amounts in the main vault.

It is important to mention the necessity of adhering to the periodic cash count, conducted on both vault and tellers boxes, and the initial of teller and supervisor on bundles labels, to ensure mitigating related risks.

- The engineering are working on completing the installation of a new complete anti-theft system for Lattakia branch, which includes new equipment including alarm bells which will be more effective in terms of alarm sound.

- With reference to the approved evacuation plan, the security and safety officer or the control room employee are responsible for contacting relevant parties in case of an emergency. Moreover, the emergency numbers are also posted on the evacuation map signs located at the branch's entrances

- There is no internal binding procedure in this regard. However, the implemented control measures as : the surveillance cameras, surprise cash count, end-of-day cash count, can mitigate the related risks between nearby tellers

6- لا يوجد توجيه اداري يطلب تحقيق موضوع التسجيل الصوتي ضمن كاميرات المراقبة.

7- بالنسبة لعدّ المبالغ, ان العميل لا يغادر المصرف قبل العد الكامل للمبلغ حيث ان موظف الصندوق ملزم بعد المبالغ قبل تسليمها للعميل و يتم تسليم المبالغ موضوعة باكياس مفرغة من الهواء.
بالنسبة للشكاوي تم وضع plexi بكل فرع موجود عليها عنوان بريد الكتروني للشكاوي

8- الشاشات تعمل بشكل جيد لدى جميع الفروع و من الممكن وجود عطل تقني تم حله فور التواصل مع القسم التقني

الموافقة المطلوبة من المدير العام و تم الاحتفاظ بالمبلغ بالخزنة الرئيسية.
ومن الضروري ذكر الالتزام بإجراءات الجرد الشهري للخزنة وأمناء الصناديق المعمول بها والذي يتطلب توقيع كل من أمين الصندوق والمفوّض بالموافقة على لصاقات الرزم لضمان تخفيض المخاطر المتعلقة.

- *يعمل القسم الهندسي على تركيب نظام جديد خاص لمكافحة السرقة لفرع اللاذقية والذي يتضمن معدات جديدة بما فيها جهاز انذار أكثر فعالية من حيث الصوت.*

- *بناءً على خطة الاخلاء، مسؤول الأمن والسلامة أو موظف قسم أنظمة الحماية والإنذار هو الشخص المسؤول عن الاتصال بالجهات المعنية. بالإضافة تم ذكر أرقام الطوارئ على لوحات خريطة الاخلاء المتواجد في مدخل الفرع.*

- *لا يوجد اجراء داخلي ملزم. ولكن مقاييس الرقابة المطبقة مثل كاميرات المراقبة، الجرد المفاجئ، الجرد بنهاية يوم العمل يمكن ان تخفض من المخاطر المتعلقة بأمناء الصناديق المجاورين لبعضهم البعض.*

٦- لا يوجد توجيه اداري يطلب تحقيق موضوع التسجيل الصوتي ضمن كاميرات المراقبة.

٧- بالنسبة لعدّ المبالغ, ان العميل لا يغادر المصرف قبل العد الكامل للمبلغ حيث ان موظف الصندوق ملزم بعد المبالغ قبل تسليمها للعميل و يتم تسليم المبالغ موضوعة باكياس مفرغة من الهواء. بالنسبة للشكاوي تم وضع plexi بكل فرع موجود عليها عنوان بريد الكتروني للشكاوي.

٨- الشاشات تعمل بشكل جيد لدى جميع الفروع و من الممكن وجود عطل تقني تم حله فور التواصل مع القسم التقني

Penalties

During Q1 2025, the Bank was subject to two penalties reaching a total amount of SYP 343,514,871 as follows:

- SYP 460,000 claimed by the General Establishment for Social Insurance for late payment of social security contributions for SB employees.
- SYP 343,054,871 consists of 228,703,171 additional payroll taxes and 114,351,700 penalties

الغرامات المالية

خلال الربع الأول من عام ٢٠٢٥، تعرّض المصرف إلى غرامتين ماليتين بلغ قيمتها ٣٤٣،٥١٤،٨٧١ ليرة سورية وهي كالتالي:

- ٤٦٠،٠٠٠ ليرة سورية وهي مطالبة من قبل المؤسسة العامة للتأمينات الاجتماعية بسبب التأخر في سداد اشتراكات التأمينات الاجتماعية لموظفي المصرف.
- مبلغ ٣٤٣,٠٥٤,٨٧١ ليرة سورية يتكون من ٢٢٨,٧٠٣,١٧١ ليرة سورية ضرائب إضافية على الرواتب والأجور و ١١٤,٣٥١,٧٠٠ ليرة سورية غرامات، مطالبة من

claimed by the Ministry of Finance due to tax differences on salaries and wages of the Bank senior management for the first and the second sessions of 2022, as well as the second session of 2021.The bank initiated a lawsuit in this regard, and a preliminary decision was issued to freeze the claims for two months until the issuance of the final decision.

قبل وزارة المالية بسبب فروقات الضريبة على الرواتب والأجور للإدارة العليا للبنك عن الدورتين الأولى والثانية لعام ٢٠٢٢، وكذلك الدورة الثانية لعام ٢٠٢١، وقد رفع البنك دعوى قضائية بهذا الخصوص، وقد صدر قرار مبدئي بتجميد المطالبات لمدة شهرين لحين صدور القرار النهائي.

Mr. Karam Bechara (General Manager)

1. Reason for Delay:

a. All government institutions were completely closed from 6 to 14 December 2025 (بسبب التحرير)

b. The first operational day was 15 December 2025, which was the payment deadline date.

Payment Attempts on 15 December:

c. Attempted to make cash payment at GESI's treasury (which remained closed)

d. Tried to process payment through SYGS transfer system (which was non-operational)

e. Issued a payment check through TPU on the same day. The check payment was processed on 16 December 2025 due to banking procedures, this resulted in a one-day delay past the deadline.

The GESI employee confirmed that:

f. All institutions faced similar challenges during this exceptional period

g. No penalty waiver instructions have been issued by GESI for these circumstances

2. An objection has been submitted to the specialized committees, and the decision has not yet been issued, in addition a lawsuit has been filed in this regard to the administrative judiciary, and a decision was issued to suspend execution(وقف التنفيذ) for two months until the case is adjudicated.

السيد كرم بشارة - المدير العام

١- سبب التأخير:

أ - أغلقت جميع المؤسسات الحكومية من تاريخ ٦ الى ١٤ كانون الأول ٢٠٢٥ (بسبب التحرير).

ب- أول يوم عمل كان ١٥ كانون الأول ٢٠٢٥، وهو تاريخ المحدد للدفع.

محاولات الدفع بتاريخ ١٥ كانون الأول ٢٠٢٥:

ث- محاولة الدفع لدى قسم الخزينة GESI (كانت مغلقة).

ج- محاولة الدفع عن طريق نظام التسوية (كان متوقفا عن العمل)

ح –تم اصدار شيك من خلال قسم التحويلات و المدفوعات في نفس اليوم. تم تنفيذ الدفع بتاريخ ١٦ كانون الأول ٢٠٢٥ بسبب إجراءات المصرف. مما أدى الى تأخير الدفع يوم واحد بعد اليوم المحدد.

أكد جميع العاملين ب GESI مايلي:

خ- واجهت جميع المؤسسات تحديات مشابه خلال هذه الفترة الاستثنائية .

د- لم تصدر أي تعليمات من GESI باعفاء المخالفين ضمن هذه الظروف.

٢- تمّ تقديم اعتراض الى اللجان المختصة، و لم يصدر قرار بعد. و بالإضافة تم رفع دعوى أمام القضاء الإداري و تم اصدار قرار بوقف التنفيذ لمدة شهرين لحين الفصل بها.

BRANCH NETWORK

During Q1 2025, we issued the audit report related to Aleppo branch; the overall control environment was assessed as Acceptable. In addition, we finalized the audit over Abu Roummaneh branch.

شبكة الفروع

خلال الربع الأول من العام ٢٠٢٥، أصدرنا تقرير التدقيق المتعلق بفروع حلب وتمّ تقييم بيئة الرقابة الاجمالية انها مقبولة. بالإضافة أنهينا التّدقيق على فرع أبو رمانة.

OPERATIONS

During Q1 2025, we issued the audit report related to IFRS9 implementation at SB and the control environment was assessed as Acceptable; however,

العمليات

خلال الربع الأول لعام ٢٠٢٥، أصدرنا تقرير تطبيق المعيار الدولي (IFRS9) في المصرف وتمّ تقييم بيئة الرقابة الاجمالية بأنها

several weakness were noted to be addressed in order to strengthen the control such as:

- Absence of documented rules/guidelines for the users' profiles and access management on the VIS system
- The creation/amendment/deletion of user profiles is not documented
- The Senior Risk Officer who has a system administrator profile with full permissions is responsible to generate corporate and retail clients ECL.
- Absence of ECL business rules and ECL testing policy/procedure.
- The IFRSs policies and procedure need to be updated.
- Banks and sovereign ECL calculation are manually performed.
- Improper computation of assets' correlation related to retail residential mortgages and credit card exposures.
- The date of initial recognition for banks' exposure was not yet defined.

مقبولة. ومع ذلك، لوحظت عدة نقاط ضعف يجب معالجتها من أجل تعزيز الرقابة على سبيل المثال:

- عدم وجود قواعد عمل خاصة لإدارة الولوج وملفات تعريف المستخدمين لنظام VIS.
- خلق/تعديل/حذف ملفات تعريف المستخدمين غير موثّق.
- يمتلك المسؤول رئيسي في دائرة المخاطر/مخاطر ائتمان المحفظة ملف تعريف مسؤول على النظام مع صلاحيات كاملة لإصدار تقرير الخسائر الائتمانية المتوقعة لمحفظة قروض التجزئة والتجارية.
- عدم وجود قواعد عمل خاصة باحتساب الخسائر الائتمانية (ECL) وسياسات وإجراءات عمل لاختبار احتساب الخسائر الائتمانية (ECL).
- السياسات والإجراءات المتعلقة باحتساب الخسائر الائتمانية المتوقعة بحاجة للتحديث
- يتمّ احتساب الخسائر الائتمانية الخاصّة بالتعرّضات الحكومية والمصارف بشكل يدوي.
- احتساب غير سليم assets' correlation المتعلّقة بتعرّضات القروض السكنية وبطاقات الإئتمان.
- لم يتمّ تحديد تاريخ الاعتراف والقياس الأوّلي للتعرّضات الإئتمانية الخاصّة بالمصارف.

Mr. Karam Bechara (General Manager)

1. *After that the information security policy is developed and approved, based on it and in cooperation with VIS company to develop the needed documents*
2. *Once the information security policy is developed and approved, it serves as the foundation for coordinating system administrator, defining access permissions and ensuring proper documentation of granted access.*
3. *Since the portfolio credit risk unit consist of only one employee (credit risk senior officer), no possibility at current situation to segregate the duties, beside that this observation is also related to the first point and it could be solved with information security unit.*
4. *The ECL testing is included in the ECL procedure, in addition we are in the process of reviewing our procedures, in order to add more details about the testing process*

السيد كرم بشارة - المدير العام.

١ - بعد اعداد سياسة أمن المعلومات والموافقة عليها وبالاستناد عليها وبالتعاون مع شركة VIS سيتمّ اعداد الوثيقة المطلوبة.

٢-بعد اعداد سياسة أمن المعلومات والموافقة عليها ستكون بمثابة الأساس لتعريف ملف مسؤول على النظام وتحديد الصلاحيات و التأكيد على توثيقها.

٣-بما أن وحدة مخاطر ائتمان المحفظة تتألف من شخص واحد (المسؤول رئيسي في وحدة مخاطر الائتمان) لا يمكن فصل المهام بالوقت الحالي. بالإضافة هذه الملاحظة تتعلق بالنقطة الأولى ويمكن حلها بالتعاون مع وحدة أمن المعلومات.

٤-اختبار حساب الخسائر الائتمانية متضمن بإجراءات الاحتساب. بالإضافة نحن نقوم بمراجعة جميع الإجراءات لإضافة المزيد من التفاصيل فيما يتعلق بالاختبار.

5. *we are in the process of reviewing the unit policies and procedures*

٥- *نحن بصدد مراجعة جميع سياسات وإجراءات الوحدة.*

6. *The new core banking include IFRS 9 implementation and once the system becomes in the live stage the ECL banks could be calculated by system, in addition we are testing and studying the possibility of performing the banks ECL calculation on VIS system, with coordination with the company.*

٦- *يتضمن النظام المصرفي الجديد تطبيق معيار ٩ وعند البدء بمرحلة التشغيل الفعلي يمكن احتساب الخسائر الائتمانية الخاصّة بالتعرّضات الحكومية والمصارف بشكل آلي. بالإضافة نقوم بتجربة احتمال احتساب هذه التعرضات على نظام VIS بالتعاون مع الشركة.*

7. *We discussed this suggestion with VIS company to assess its impact, noting that to apply it we have to change all the methodologies of calculating the ECL and this effort will be larger than the advantage of its output, as its impact is immaterial, in addition the applied methodology of assets correlation which is adopted and explained clearly in our PD documentation, is valid and comply with the requirements of IFRS9 implementation as per our experience.*

٧- *تمّ مناقشة هذا الاقتراح مع شركة VIS لتقييم أثره. علماً أنه لتطبيقه يجب تغيير جميع المنهجيات المتبعة لاحتساب الخسائر الائتمانية وهذا الجهد سيعود بفائدة أقل من المخرجات إذ أنّ أثره غير جوهري. بالإضافة انّ المنهجية المتبعة لاحتساب 'assets correlation المعتمدة والتي تم شرحها بشكل مفصل وواضح بوثائق احتمالية التعثر PD صحيحة ومتوافقة مع متطلبات تطبيق معيار ٩ وذلك بناء على خبرتنا.*

8. *We will consider the Account Opening date as the first recognition for the banks*

٨- *سيتم أخذ بعين الاعتبار تاريخ فتح الحساب هو تاريخ الإعتراف والقياس الأوّلي للتعرّضات الإئتمانية الخاصّة بالمصارف.*

Commercial Portfolio

During the period December 31,2024 until March 31,2025, commercial classified direct O/S decreased by SYP 39,244 M (10%), from SYP 387,669M to SYP 348,425M; however increased from 79 % to 81% of the total commercial portfolio direct O/S.

Karam Bechara (General Manager)

The decrease in classified commercial portfolio is due to the fact that we were able to recover SYP 6.95 bio from LRU clients being:

El wais: SYP 4 bio Rihana SYP 1.171 bio and Daoud Trading SYP 1.7 bio

As for the increase in percentage of classified clients over total commercial portfolio, this is mainly due to the significant performed early settlement of outstanding loans within stage 1 totaling SYP 12.9 bio during the first quarter of 2025, where due to the cancelation of exchange platform and the existing limitation/shortage in cash supply most clients used their surplus in cash to settle their obligations in banks.

محفظة التسهيلات

خلال الفترة من ٣١ كانون الأول ٢٠٢٤ ولغاية ٣١ آذار ٢٠٢٥، انخفض رصيد التسهيلات التجارية المباشرة المصنّفة بمقدار ٣٩،٢٤٤ مليون ليرة سورية (١٠%)، من ٣٨٧،٦٦٩ مليون الى ٣٤٨،٤٢٥ مليون ليرة سورية، ولكن ارتفع من ٧٩ ٪ إلى٨١٪ من إجمالي رصيد محفظة التسهيلات التجارية المباشرة .

السيد كرم بشارة - المدير العام.

يعود الانخفاض برصيد التسهيلات التجارية المصنفة لقيام المصرف باسترداد ٦،٩٥ ليرة سورية *من قبل العملاء المتعثرين كمايلي:*

شركة الويس: ٤ مليار ليرة سورية، ريحانا ١،١٧١ مليار ليرة سورية و شركة داود للتجارة ١،٧ مليار ليرة سورية.

أما بالنسبة للزيادة بنسبة العملاء المصنفين على اجمالي محفظة التسهيلات التجارية يعود بشكل أساسي للسداد المبكر للقروض المصنفة بالمرحلة الأولى والتي بلغ مجموعها ١٢،٩ مليار ليرة سورية خلال الربع الأول من عام ٢٠٢٥

حيث تم استخدام معظم العملاء الفائض النقدي من الغاء منصة التصريف لسداد الالتزامات لدى المصارف بسبب القيود الحالية على السيولة النقدية

INFORMATION TECHNOLOGY

During Q1 2025, we issued “Disaster recovery and business continuity plans” report and the control

تكنولوجيا المعلومات

خلال الربع الأول من ٢٠٢٥، أصدرنا تقرير خطط استمرارية الاعمال والتعافي من الكوارث وتمّ تقييم بيئة الرقابة الاجمالية بأنها

environment was assessed as Below Acceptable. Main weakness was noted to be addressed in order to strengthen the control such as:

- Absence of BCP unit or team.
- A Risk Assessment (RA) and Business Impact Analysis (BIA) are not in place.
- Lack of critical services' classification, assessment, contingency and DRP.
- Backup, Data Retention and Restoration Procedures are not in place.
- A Business continuity and Disaster Recovery policies and procedures are not in place.
- Absence of BCP essential documentation such as (business continuity strategy - crisis management plan - change management procedure – awareness training program – emergency communication plans).
- SB Evacuation plan is incomplete.
- Disaster Recovery Site for employees is not appropriate.
- Succession plan is incomplete and outdated.

In addition, we started the audit over Exchange and Active directory.

New Core Banking System

Regarding LYST Core Banking System, it is suspended with the same status.

For the New Core Banking Replacement Project, we are expecting an updated offers from two providers in order to proceed with next project steps.

Mr. Karam Bechara (General Manager)

Information Technology

1. *We have collaborated with Human resources to define the BCP team structure and roles, awaiting the final validations to hold its first meeting*
2. *The risk assessment and Business Impact analysis are tasks of the BC team. Once the team is approved, their tasks will be implemented, and the next step involves conducting a formal risk assessment*
3. *The services classification and the contingency plans is a part of the scope above mentioned*

دون المقبول. حيث لوحظت عدة نقاط ضعف يجب معالجتها من أجل تعزيز الرقابة أهمها على سبيل المثال:

- عدم وجود وحدة أو فريق متخصص مسؤول عن خطة استمرارية الأعمال.
- لم يتم تطبيق تقييم المخاطر (RA) وتحليل تأثير الأعمال (BIA).
- عدم وجود تصنيف وتقييم وخطط استمرارية وتعافي للخدمات الأساسية.
- لا توجد إجراءات للنسخ الاحتياطي والاحتفاظ بالبيانات واستعادتها.
- لا توجد سياسات وإجراءات لاستمرارية الأعمال والتعافي من الكوارث.
- عدم وجود الوثائق الأساسية لخطة استمرارية الأعمال مثل (استراتيجية استمرارية الأعمال - خطة إدارة الأزمات - إجراءات إدارة التغيير - برنامج التدريب التوعوي - خطط الاتصالات في حالات الطوارئ).
- خطة الإخلاء للمصرف غير مكتملة.
- موقع التعافي من الكوارث للموظفين غير مناسب.
- خطة الاحلال غير كاملة وغير محدثة.

كما بدأنا التدقيق على مخدم البريد الالكتروني (Exchange) و مخدم (Active Directory).

النظام المصرفي الأساسي في شهبا بنك

فيما يتعلق بالنظام المصرفي LYST فهو معلّق بنفس الوضع السابق.

أما بالنسبة لمشروع استبدال النظام المصرفي الأساسي الجديد، بانتظار عروضاً مُحدّثة من مُزوّدَين لمتابعة الخطوات التالية للمشروع.

السيد كرم بشارة - المدير العام

تكنولوجيا المعلومات

١- *تمّ تعريف هيكلية فريق استمرارية الأعمال وأدواره بالتعاون مع قسم الموارد البشرية، وبانتظار المصادقات النهائية لعقد اجتماعه الأول.*

٢- *يعتبر تقييم المخاطر وتحليل تأثير الأعمال من مهام فريق استمرارية الأعمال. وبمجرد الموافقة على الفريق، سيبدأ بتنفيذ مهامه، وستكون الخطوة التالية إجراء تقييم رسمي للمخاطر.*

٣- *يعد تصنيف الخدمات الأساسية وخطط التعافي جزء من نطاق النتائج المذكورة أعلاه أيضاً. وسيتم العمل بها بعد إنشاء*

finding as well. The work will be done after establishing the BCP unit and kicking off the plan development. Schedule will be determined based on BCP unit and teamwork progress.

وحدة استمرارية الأعمال والبدء في تنفيذ الخطة. كما سيحدد الجدول الزمني بناءً على وحدة استمرارية الأعمال وتقدمها في العمل.

4. the first version of the Backup, Data Retention, and Restoration Procedures has been completed, and is awaiting for review and validation by the relevant stakeholders

٤- تم الانتهاء من النسخة الأولى من إجراءات النسخ الاحتياطي والاحتفاظ بالبيانات واستعادتها، وهي بانتظار المراجعة والمصادقة من قبل المعنيين.

5. The decision #391 about business continuity requirements mandates the existence of a business continuity Plan, and its associated Procedures, without necessitating any Policy. Accordingly, a comprehensive Business continuity plan has been developed at the entire bank's level; to be validated and approved. Additionally, a detailed business continuity procedure is subject to the completion of the previous steps.
All the mentioned documents are combined within the business continuity plan, which its draft is pending the final validation.

٥-يتطلب القرار رقم ٣٩١ بخصوص متطلبات استمرارية الأعمال ووجود خطة لاستمرارية الأعمال والإجراءات المرتبطة بها، دون أن يستلزم ذلك وجود أي سياسة.
وبناءً على ذلك، تم وضع خطة شاملة لاستمرارية الأعمال على مستوى المصرف بأكمله ليتم التحقق من صحتها والموافقة عليها. بالإضافة إلى ذلك، تخضع إجراءات استمرارية الأعمال التفصيلية لاستكمال الخطوات السابقة.
تم دمج جميع الوثائق المذكورة ضمن خطة استمرارية الأعمال، والتي لا تزال مسودتها بانتظار المصادقة النهائية.

6. Regarding the awareness program, work will be done on it based on BCP team decision during the upcoming period and subject to availability of needed human resource in the operational risk unit

٦- سيتم العمل على برنامج التوعية بناء على قرار فريق استمرارية الأعمال خلال الفترة القادمة وبحسب توافر الموارد البشرية اللازمة في وحدة المخاطر التشغيلية.

7. The evacuation plan has been revised and need the final validations

٧- تمّت مراجعة خطة الإخلاء وتحتاج إلى مصادقات نهائية.

8. The discussion about the alternate location were already begun last year, but was temporary postponed. And it will be revised with the BCP team in the next period. The only location of the DR site for employees that was feasible is the Head office – floor 2- meeting room. Other suggested alternatives were not suitable for conducting the required BCP drill.

٨- بدأت النقاشات حول الموقع البديل العام الماضي، ولكن تمّ تأجيلها مؤقتاً. ستتم مراجعة المقترح مع فريق خطة استمرارية الأعمال في الفترة القادمة .الموقع الوحيد المُناسب للموظفين لموقع التعافي من الكوارث هو قاعة الاجتماعات في الطابق الثاني، مبنى الإدارة. لم تكن البدائل الأخرى المُقترحة مناسبة لإجراء اختبار خطة استمرارية الأعمال المطلوب.

9. The succession plan has been reviewed and approved by the Board of Directors during their meeting held on 19/03/2025

٩- تمّت مراجعة خطة الإحلال والموافقة عليها من قبل مجلس الإدارة خلال اجتماعه المنعقد بتاريخ ١٩/٠٣/٢٠٢٥.

New Core Banking System

Noted.

النظام المصرفي الأساسي في شهبا بنك

لوحظت

APPENDICES

Appendix I - Index of all Outstanding Issues in Q1 2025
Appendix II - Index of Cleared/Downgraded/Replaced Issues in Q1 2025

Appendix I - Index of all Outstanding Issues in Q1 2025

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
1	OA	>24	H		***Transaction Monitoring and Screening (089-BBS-OA-021-20):***The transaction monitoring process at Compliance level was not evidenced by supporting documents in some cases of transactions' unusual pattern to reflect the enhanced due diligence (EDD) performed by Compliance in this regard. Hence, among a sample of 30 alerts closed in Siron between 2017 and 2021 and 20 inquiries sent to branches, we noted that 7 alerts in Siron and 5 inquiries necessitate proper documentation to clarify the unusual transactions' pattern; yet, they were closed by Compliance without obtaining the necessary supporting documents. On the other hand, the screening of the local transfers (via clearing and RTGS) is manually performed. Hence, while checking the reports extracted and reviewed by the Transaction Monitoring Officers (TMOs) regarding the cash deposits and transfers executed between August 2017 and August 2021, we noted that 18% of the tested cases included irregularities regarding the source of funds and/or payment details (36 out of 199 cases).Furthermore, as per CMLC decision #19 (Article 25), certain products and services require enhanced compliance due diligence. However, when enquiring with the Compliance unit regarding this requirement, we did not obtain any clarification regarding the current EDD applied for the bank products and services; knowing that the process is not documented in any procedure. Audit comment: The observation will be reassessed during our audit on compliance	***Karam Bechara (General Manager):*** Compliance Unit : AML transaction monitoring on Siron: 1- Supporting documents are requested in case of doubt and it is not necessary to request documents at each operation (the mentioned transactions are normal for us) and you can find our comment case by case mentioned in the Appendix. 2- The clarifications and the documents were enough to us. Screening of transactions: In regards of the manual screening, the observation will be solved in the new core banking system. 1- The source of funds: Even the source of funds is not filled in on the related field or not clearly mentioned on T24, we can read the clients' profile from other filed such as sector ext.. Noting that the compliance requested from the BCU to ensure that the source of funds to be filled in properly and "Business activity" phrase is not acceptable.200016 (it is OK TELECOMMUNICATION SERVICES)200024 is closed 202595 (Refer to BR for CL)204725 (it is OK embassy)206156 (it is OK MANUFACT-INSECT.PESTISIDE PRODUCTS) need CL207935 (It is Work)213988 (Ask the Branch this CIF need cleansing and we ask the branch to provide us with EDD)214415 (Need CL)250338 (it is OK TELECOMMUNICATION SERVICES)256442 (OK its work is Insurance)401486 (it is OK WHOLESALE-AGRICULTURAL PRODUCTS)601000 (It is OK its work)602744 (it is OK that this company work in CONTRACTING-GENERAL)602877 (تبرعات من – "جمعية نور الخيرية للاغاثة والتنمية."المؤسسات الداعمة)٢٠٨٠٤٩"BUZ ACTIVITIES" – (Refer to Br and it is already insurance company so it is source of fund from insurance)452459 " ان السيد حسام احمد رئيس فرع النقابة وباسل حسين ايرادات من بدل اشتراكات الصيادلة و) "امين سر النقابة ووسام عطيه خازن "تعويضات وصفات طبية للدوائر الحكومية)٤٠٤٤١١BUSINESS ACTIVITY" (. دخله من عمله صاحب مكتب الهادي للتجهيزات الطبية وصاحب

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						بطريركية أنطاكية) - OK) "تبرعات و حوالات"مطعم الريف)٢٠٣٧٨٨ من عمل الشركة في الاتصالات)٢٥٠٣٣٨) – "BUZ ACTIVITIES" ٢٠٠٢٨١ سوريا MTNشركة) "سوريا المساهمة المغفلة للاتصالات MTNشركة " للاتصالات اقامة مشاريع الاتصالات و تقديم كافة الخدمات المساهمة المغفلة المتعلقة بها٢- The source of fund filled do not match TT1930100713 (OK commercial customer and he needs to close its loan and we sent E-mail)TT2012500487 (ok ITS WORK WE INFROMED ABOUT THIS WORK)TT2100700524 (ok ITS WORK WE INFROMED ABOUT THIS WORK)TT2122400472 (ok السكر مواد غذائية)FT1900700539 (IT IS OK CUSTOMER WANT TO BUY A FREEZING MASHINE)3- Missing payment details These operations are from the public sector and the nature of the work of clients is well known to us. Hence, all these transactions are cleared for usFT1728502009 (the transaction was received from the Central Bank of Syria and the Russian Embassy, the case was closed after reviewing it, The details of the process include the name of the bank that sent the transfer, which is feeding an account through the Russian bank based on the repeated operations that were received in this way)FT1726701754 (it is from ALHYYA ALAMEH LIMASHFA ALBASEL*LI AMRAD WA JIRAHET ALQALB government and we know customer's transactions)FT1726200769 (it is from MASHFA TESHREEN AL JAMEAY government and we know customer's transactions)FT1721803068 (it is from AL-SHARIKA AL-SOURIYA LIL ETISALAT government and we know customer's transactions)4- Payment details not clear FT1800301845 (QIMET CHQ NO 4 DD 27 12 2017 - OK)FT1804301626 (ALDAFA ALTHALITHA MN ALAKED NO17 - OK)FT1807301041 (KITAB NO 540 DD 13 3 2018)FT1819101414 (RQM ALFATURA SH-2010-52 DT21-03-18)FT2035701699 (RETURN PART OF THE COMPANY S PREPAID INSURANCE)FT2117300923 (SYGS- سداد دين)FT2118600629 (SYGS-٥-قيمة مضخات ماء)- Due Diligence over certain products & Services: The clients are mention for

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						example, and a mission has been carried out on those who own safe boxes, and there are no comments. With regard to enhanced due diligence, it follows the AML policy and the client's movement, with the work that the department studies many clients in need of enhanced due diligence. Batoul Al Halbouni - Head of Branch Coordination We already circulated to all branches the following: They have to update the source of fund for any CIF, Business activity or general phrase is not acceptable. Fill BROs information and open a new CIF for them , we will re-send reminder to update

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2	OA	>24	H		***KYC Information and BRO Identification (089-BBS-OA-021-20):*** We noted 8 clients had amounts credited to their accounts during 2019 or 2020 with a total amount excessively exceeding the yearly income range specified in T24; yet, they were not identified by Compliance for further clarification and potential update of KYC. When enquiring with Compliance, we were informed that the related scenario on Siron was not activated yet. Furthermore, the beneficiary right owners (BRO) were checked for all CIFs having accounts with the bank (27,261 CIFs as of December 2020), and the following discrepancies were noted:- 432 CIFs had the BRO not identified on T24.- 3 CIFs related to individuals have the BRO different than the account holder (2 CIFs were closed after audit). - In 66 cases related to companies, the BRO CIF number was not filled in T24 (9 rectified after audit). Audit comment: All the fields on T24 related to BRO identification must be filled in to comply with the CMLC requirement. Audit comment: The observation will be reassessed during our audit on compliance	***Karam Bechara (General Manager):*** Compliance Unit: KYC Information:1- The scenario of yearly inflow is not activated yet, and we sent a request to AML BBL and we are still waiting.2- the field is mandatory for new CIF, this CIF needs Cleansing since it is opened before this rule) - this CIF need Cleansing3- Refer to the BCU4- Three CIFs were rectified CIF 260718 cleansed on 15/02/2022 – 219777 cleansed on 17/03/2022 – 702459 cleansed on 27/04/2022 , one client is unreachable CIF 260717 and the remaining three CIFs were flagged with posting restriction ""CIF needs cleansing"" CIF 200256- 206156 BRO identification:1- The mentioned CIFs need cleansing.2- The branch fill the field-controlling person for the company based what the client stated to the branch so refer this issue to the branch3- CIF: 200709 - 351377 are closed, 208922 if you check back to her history (10/03/2009) you will find that the money is a heritance form her father (عبد الرحمن قده (so she is the beneficiary owner and it is the field by mistake from branch and the CIF needs cleansing4- The field is not mandatory on T24. Batoul Al Halbouni- Head of Branch Coordination As for cleansing we are working based on the cleansing plan for all branches " Batoul Al Halbouni- Head of Branch Coordination As for cleansing we are working based on the cleansing plan for all branches "

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3	OA	>24	H		***BBS Clients' Flagging (089-BBS-OA-021-20):*** The clients' AML risk levels calculated by compliance are not reflected in T24 for branch proper monitoring and follow-up. Moreover, several discrepancies were noted while reviewing the flagging process of CIFs in T24 which ultimately might affect the adequacy of the AML risk level as following:4 CIFs having their profession equal to "Minister", "Ambassador" (out of 14 tested cases); yet, they were not flagged as PEP; consequently, 3 out of these CIFs were not classified as High Risk as required in the RBA policy.10 out of 14 CIFs having incorrect profession such as Deputy. (3 rectified after audit). 11 CIFs out of 20 tested PEPs, have relation with PEPs yet, they were not flagged with Relative and Close Associate "related to PEP/ RCA" (7 cases were rectified after audit).62 CIFs having sector non-profit organization; yet, they were not flagged as NGO in T24 (45 cases rectified after audit). Consequently, 58 out of these CIFs were not classified as High Risk as required in the RBA policy (Appendix 12).12 old CIFs having their nationality or residency related to a sanctioned country with banking relation yes; yet, they were not subject to any compliance posting restriction or flagging for proper monitoring (6 CIFs were flagged CUT, 4 CIFs were closed after audit).	***Karam Bechara (General Manager):*** 1- For the CIFs having their profession equal to "Minister", "Ambassador" CIF 250522 the CIF needs cleansing as per world check system as he isn't a PEPCIF 305085 the CIF need cleansing as per world check system he isn't a PEP the client work in general trading CIF 353045 as per the world check system he isn't a PEPCIF 209260 refer to branch the CIF need cleansing and as per the world check system he isn't a PEP2- Three rectified CIF 264753 – 700229 – 269258 and other wrong profession refer to branch the CIF need cleansing3- Seven out of eleven cases rectified after audit CIF 700230 - 550474 - 218551 - 213787 - 213444 – 213568 – 216600 - 257133 and other CIFs changed to normal client instead of PEP. CIF 406789 – 217425 – 551777.4- Part is rectified and we will follow up with the branches to correct these classifications5- Customer hold nationality related to a sanctioned country with banking relation Y are CUT now6- The AML risk level will be reflected in the new core banking system. In the meantime and after discussion with the bank's management and the branches' management we are providing the RBA data to the bank branches through the branch management department

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4	OA	06 - 12	H		***HR System (057-BBS-OA-016-22):*** Upon checking, the user's profiles on the HR system (Auto ID) we noted the absence of dual control, as the input function does not require any system authorization and the input profile can amend and delete his own personal information without any system restriction. Moreover, lack of documented rule /guideline for the users' profiles and access management on the Auto ID system to ensure that access is granted based on the need to do and need to know basis where the creation/amendment/deletion of user profiles is not properly documented. Furthermore, employees' leaves are not fully managed by the Auto ID system. In addition, the system does not generate any alert message in case any employee exceeded his eligible annual leave balance or in case the employee took over 10 days of sick leave (rectified).	***Karam Bechara (General Manager):*** It is due to current system limitations. The best solution is to replace the system by a new system which needs more investment. Currently we are doing manual workaround till finding proper automated solution. Noting that Its been several years without any mistake so it should be downgraded
5	ITA	0 - 06	H		***Network Change management (SB-IT-005-24):*** The absence of network change management process that is a process of managing changes to a computer network infrastructure in a controlled and systematic manner to minimize disruptions, ensure security and maintain network reliability. It involves planning, implementing, and documenting changes such as hardware upgrade, software updates, configuration modifications and network expansions; however, documentation of changes in SB is confined to configuration changes in network devices.	***Karam Bechara (General Manager):*** Maya Sleiman - Head of Organization Support and Procedures:OSP is still working with the IT department to finalize the related policies and procedures and obtain the necessary approvals from the concerned parties (deadline: end of Q3 2025). Mr. Firas Homaysi - Head of IT: Policies and Procedures are in final review phase Deadline End of Q3 2025

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6	ITA	0 - 06	H		***Encryption (SB-IT-005-24):***Data encryption is important because it helps protect people's privacy and secures data from attackers and other cybersecurity threats. Encryption by using IPsec tunnels between head quarter and branches, also between head quarter and SEP does not exist and should be applied to ensure the confidentiality of the information transmitted on the network.	***Karam Bechara (General Manager):*** Head of IT- Mr. Firas Homaysi: § SEP Connection is not encrypted because the company unfortunately still has no Encryption configuration capability yet. § Hesham Snan, already encrypted on the Public internet 4G link. For the branches WAN connections: - GRE tunnels are used in all connections- STE reserve SB private MPLS Domain which is not shared with any party - E1 connections are already private point2pint connection with no need for encryption. Although there is no obligatory requirement for this, externally or internally from BBL-BBS related parties. In addition, as part of the Infrastructure upgrade project, we are targeting upgrading the WAN equipment for overall benefits related to security and other domains (schedule based Top management strategy and approvals) - Deadline: End of 2025.
7	ITA	0 - 06	H		***Network devices firmware (SB-IT-005-24):*** The firmware version of network devices except Gajsheild firewall is outdated and that makes them vulnerable to security breaches and hacking.	***Karam Bechara (General Manager):*** Non-Sanctioned solution firmware are updated regularly. Sanctioned solutions cannot be updated.
8	OA	0 - 06	H		***VIS System (SB-OA-018-24):*** While reviewing the users' profiles on the VIS system (ECL system) we noted the absence of a documented rule /guideline for the users' profiles and access management on the system. The document will ensure that access is granted based on the need to do and the need to know basis where the creation/amendment/deletion of user profiles is not properly documented resulting unnecessary active profiles for unknown/resigned and transferred employees. In addition, the Senior Risk Officer who has a system administrator profile with full permissions is	***Karam Bechara (General Manager):*** Both point will be solved with information security unit and TAG company

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					responsible to generate corporate and retail clients ECL.	
9	ITA	0 - 06	H		***Absence of BCP unit or team (SB-IT-01-25):*** We noted that there is no BCP unit or team that is responsible of ensuring that an organization can continue to operate and quickly recover in the event of a disruption, such as natural disasters, cyberattacks, or other emergencies. The key responsibilities of a BCP team include the following: Risk Assessment and Analysis, Business Impact Analysis (BIA), Plan Development and Implementation, Training and Awareness, Testing and Exercises, Communication Planning, Plan Maintenance, Coordination with External Parties and Documentation. By fulfilling these responsibilities effectively, a BCP team helps minimize downtime during disruptions and ensures that an organization can maintain its essential functions under adverse conditions. However, SB has a business continuity management team, which is considered as an	***Karam Bechara (General Manager):*** Ms. Yvonne Kourkjian (Head of Operational Risk): A draft of the Business continuity strategy, which outlines the Business continuity team and their respective responsibilities, has been completed and is currently pending approval. Ms. Rahaf Tarraf (Acting Head of Human Resources): The absence of a BCP unit is acknowledged, and its significance in ensuring effective response and recovery from disruptions is recognized.

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					emergency response team that acts when an emergency event occurs.	
10	ITA	0 - 06	H		***A risk assessment (RA) and Business Impact Analysis (BIA) are not in place (SB-IT-01-25):*** A formal risk assessment and business impact analysis are not yet in place. These two tasks are the foundation of building a solid, effective and efficient Business Continuity Plan. The related controls provide assurance that the BCP/DRP comply with the management objectives with regard to the continuity of business in disaster situations and proper recovery after the disaster. BIA should contain: 1- Different business processes in the bank. 2- Critical information resources related to critical business processes	***Karam Bechara (General Manager):*** The Business Impact analysis (BIA) is a task of the BC team. Once the team is approved, their tasks will be implemented. And the next step involves conducting a formal risk assessment.

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					3- Critical recovery time period before significant or unacceptable losses happen.	
11	ITA	0 - 06	H		***Lack of critical services' classification, assessment, contingency and DRP (SB-IT-01-25):*** We noted that the current information systems' services in SB are not classified in terms of criticality; and there is no DRP plans for systems except the T24. However, the T24 administration was with BBL before segregation and related DRP was drilled by them. In addition, there is a replica of some services in the DR as per IT declaration, but they are not drilled and documented.	***Karam Bechara (General Manager):*** Ms. Yvonne Kourkjian (Head of Operational Risk): The systems classification and the contingency plans for the critical services is a part of the scope of the issue mentioned in finding (#2. The work will be done after establishing the BCP unit and kicking off the plan development. Schedule will be determined based on BCP unit and teamwork progress. Thus, it will be more practical to merge this finding within the previous issue. Mr. Firas Homaysi (Head of IT): DRP roadmap of documentation is based on previous planned steps (Team engagement, Risk assessment, classification,…)

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12	ITA	0 - 06	H		***Backup, Data Retention and Restoration Procedures are not in place (SB-IT-01-25):*** We noticed that there are no procedures for backup, retention and restore for data and devices configurations. Having a well-defined backup and restore procedure allows organizations to recover quickly and minimize downtime. They ensure that critical business operations can continue with minimal disruption in the event of data loss. Backup retention and restore procedures are essential for safeguarding an organization's data assets, ensuring compliance with regulations, supporting business continuity plans, managing costs effectively, and mitigating risks associated with data loss.	***Karam Bechara (General Manager):*** Mr. Firas Homaysi (Head of IT): Backup and Restoration procedure is available and in draft stage; to be updated based on incremental Infrastructure and service updates requirements. In the meantime, IT is working based on solid Backup Plan that cover requirements and minimize risks. Deadline: Q4 2025 Mrs. Maya Sleiman (Head of organization support and procedure): The first version of the Backup, Data Retention, and Restoration Procedures has been completed and is awaiting for review and validation by the relevant stakeholders.
13	ITA	0 - 06	H		***A Business continuity and Disaster Recovery policies and procedures are not in place (SB-IT-01-25):*** A formal business continuity and disaster recovery policies and procedures for the entire bank's services in Shahba Bank were not yet in place. It is also worth noting that these policies and procedures should have been finalized and formalized prior to the full implementation and testing of the related process. Accordingly, the absence of such procedures may lead to delays and ineffectiveness in performing recovery tasks, and to undefined responsibilities and accountabilities in the overall process.	***Karam Bechara (General Manager):*** Mrs. Yvonne Kourkjian (Head of Operational Risk): The decision #391 about business continuity requirements mandates the existence of a business continuity Plan, and its associated Procedures, without necessitating any Policy. And as previously mentioned, a comprehensive Business continuity plan has been developed at the entire bank's level; to be validated and approved in the next Risk committee. Additionally, a detailed business continuity procedure is subject to the completion of the previous steps (classification, impact analysis,..) in previous steps. Schedule will be determined based on BCP unit and

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						teamwork progress. Mrs. Maya Sleiman (Head of organization support and procedure): Detailed business continuity procedure depends on finishing the earlier steps (such as classification and impact analysis)
14	ITA	0 - 06	H		***Absence of BCP essential documentation (SB-IT-01-25):*** SB BCP is missing essential documents such as (business continuity strategy - crisis management plan - change management procedure – awareness training program – emergency communication plans).	***Karam Bechara (General Manager):*** Mrs. Yvonne Kourkjian (Head of Operational Risk): All the mentioned documents are combined within the business continuity plan, which its draft is almost ready and pending the final validation by the next Risk Committee. Regarding the awareness program, which is also a part of the first mentioned issue above and linked to it, work will be done on it based on BCP team decision during the upcoming period. All of these required tasks are subject to availability of needed and previously requested human resource in the operational risk unit. Schedule will be determined based on BCP unit and teamwork progress. Mrs. Maya Sleiman (Head of organization support and procedure):

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						Detailed BCP documentation depends on finishing the earlier steps (such as classification and impact analysis).
15	ITA	>24	M		***Dormant CIFs on T24 and SigCap (149-BBS-IT-024-18):*** During our fieldwork, we noticed that the process of flagging dormant CIFs on T24 is still not in place. Consequently, flagging the dormant account on SigCap is not being performed and the application is not restricting the users at branches from viewing the signature of related dormant CIF, as stipulated in the PSY26 procedure. It is worth mentioning that the process of flagging dormant CIFs/accounts was requested by CBOS regulation (1418/M.N/B4-2016).We recommend the bank to coordinate with the IT department and schedule a delivery date in order to automatically flag dormant CIFs on T24 and consequently on SigCap.	***Karam Bechara (General Manager):*** It needs development on core banking system which is not feasible in the meantime. We will take in consideration in future alternative of core banking.

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16	ITA	>24	M		***Filtering System is not in Place (BBS - SYGS-2019):*** A filtering system is not in place to automatically screen the ordering and beneficiary customers and related banks in addition to the related details of all the inward and outward transfers performed through SyGS. Currently, SB Compliance Department is manually checking the related fields using a local watch list maintained on an excel file and updated upon receiving a new customers' list from CBoS; however, no filtering is being performed on SyGS transfers versus international lists. Although the access to the watch list is limited to authorized users; nevertheless, amendments on such file can't be easily tracked and filtering activities can't be easily traced, which might lead to processing transactions without being properly checked. We recommend SB to study the possibility of implementing a filtering system to automatically screen transactions performed through SyGS against internal and international lists, and identify transactions related to blacklisted or non-eligible parties.	***Karam Bechara (General Manager):***We will take into consideration this issue in the new core banking alternatives

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17	ITA	>24	M		***BBS Operating Systems are not Supported and Weak Password Hashing (BBS-T24 System-2020):*** We noticed that the UNIX AIX operating system (OS) release that runs SB T24 core banking is no longer supported by the vender. The current version of OS that runs T24 (production and backup server) is AIX 5.3, IBM standard support services for AIX 5.3 ended by April 2012. Further, the current version of OS that runs T24 (DR server) is AIX 6.1 and its support services ended by April 2017, According IBM site. On the other hand, while checking the password hashes stored on the system from /etc/security/password file, we noted that the passwords were hashed using an old, weak cryptography hashing algorithm (MD5). Note: the AIX operating system on T24 production and backup server does not support SHA family algorithm, only the AIX 6.1 that running on the DR server have the ability to use different password algorithms such as (SHA).We recommend IT department to study the possibility of upgrading the UNIX AIX operating system (OS) release to a supported version. Consequently, password-hashing algorithm will be upgraded. Meanwhile, we recommend IT department to upgrade the password-hashing algorithm on SB T24 DR server to more secure algorithm (SHA) if possible. While other environments need and OS upgrade for this purpose.	***Karam Bechara (General Manager):*** The ongoing Core Banking Replacement Project shall address this issue

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18	ITA	>24	M		***DC does not meet CBOS Requirements (070-BBS-IT-019-21):***We noticed that the DC does not meet the CBOS requirements. We noticed that there is no fire retardant paint, no raised floor and the required cabinet accessibility measurements are not met. We recommend that the requirements set by CBOS are implemented on the DC which are specified by Decision Number 71- ٢٠١٨/٦/٤ م.ن.	***Karam Bechara (General Manager):***Eng. Riad Mouawad (Consultant Engineer) :Eng. Riad Mouawad: 3.1 issue is done , please to reassess. 3.3 issue is done , Please to reassess 3:3 : as for installing and organizing the label power panels : issue is done and the needed shutdown was implemented 3:4 fire retardant paint : we cannot implement fire retardant paint in the data center as all the infrastructure is implemented and installed on the existing wall and painting the walls is not applicable (only we can try with some walls which will be generally not effective 3:5 : raised floor is not applicable due to many issues since we don't have enough roof height to apply it .
19	ITA	>24	M		***Inefficient Cooling Setup for Server Room Cabinets (070-BBS-IT-019-21):*** We noticed that the cooling setup within the Server Room is inefficient. The air conditioning units in the room are aimed towards the back of the cabinets where the servers exhaust their hot air. The server air intake is done through the front. We recommend that the cabinets' front be turned towards the air conditioning units or move the air conditioning units to the wall facing the front of the servers.	***Karam Bechara (General Manager):***Eng. Riad Mouawad (Consultant Engineer) :same reply of Q3 - 2024 project is under process. Tender was prepared and sent to the suppliers Study for 3 offers was provided to the higher management and we are still waiting their approval as well as the needed funding to proceed with the project
20	ITA	>24	M		***Partial Lack of Dual Power Redundancy in Network Cabinets (070-BBS-IT-019-21):*** During our visit to the DC, we noticed that the smaller network equipment (modems, small routers and switches) have only one power source. We recommend that an automatic transfer switch (a device that takes in two power sources and provides one power output and automatically switches between both power inputs) be installed with a power distribution unit to supply devices with only one power input.	***Karam Bechara (General Manager)***:Eng. Riad Mouawad (Consultant Engineer) : Project will extend till Q1 or Q2 2025 due to further studies

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21	ITA	>24	M		***DR Site Review (070-BBS-IT-019-21):***During our visit to the DR site in Tartous branch, we noticed some issues that require attention from the concerned parties:§ The branch and the DR are located in an area that has previously experienced flooding;§ The site does not fulfill some requirements set by CBOS, mainly the lack of a raised floor, use of normal paint on the wall;§ Humidity was above the recommended at 66% while the recommended is 45+/-5%;§ The network and systems cabinets have their front and back panels missing;§ The basement has 3 forms of flooding control. There are two barriers (one at the B1 branch entrance and another at the entrance of the DR), and a water pit with pump located right outside the DR entrance; We recommend the following:§ Check up on water pit and pump to ensure they are working and provide a written report.§ Bring up the DR to CBOS requirements (Decision Number 71-م.ن ٢٠١٨/٦/٤).§ Install front and back panels on the cabinets in the DR..	***Karam Bechara (General Manager):E***ng. Riad Mouawad (Consultant Engineer) :Eng. Riad Mouawad (Consultant Engineer) : Issue is done and the DRC now is fully equipped with all the required security systems (Cameras - Intrusion - Fire alarm - Fore suppression FM200 - water leakage - temperature and humidity sensors) please to reassess
22	OA	>24	M		***BBS Archives (030-MEM-BBS-OA-002-14):*** Discrepancies were noted regarding physical & environmental security controls over SB archives as follows: No access card is available for Hosh Blass archives' areas. No centralized database and documented procedure. An electronic archiving solution along with a clear process should be implemented. noting that the first floor of Hosh blass which is used as an archive room lacked the physical and environmental security controls (fire alarms and extinguishers, water detector system and surveillance cameras)	***Karam Bechara (General Manager)***:Eng. Riad Mouawad (Consultant Engineer) : Project of rehabilitation work was budgeted to be implemented this year 2025Awaiting Management approval for the budget to proceedOnce we get the approval and needed funding the warehouses will be well prepared and renovated and equipped with all the needed systems Head of Organization Support and Procedures - Ms.Maya Sleiman: A new e-archiving proposal was sent to Mr. Karam Bechara for his approval prior to developing the related procedure.

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
23	OA	>24	M		***Policies and procedures (071-BBS-OA-012-18):*** No validated procedure governing the Legal Support processes and identifying the roles and responsibilities of all involved parties.	***Karam Bechara (General Manager):*** يتم التنسيق مع قسم السياسات وسيتم والإجراءات لتنظيم إجراءات للدائرة القانونية، وتم تجهيز قسم كبير منها إرسال مسودة الإجراءات لقسم السياسات ولم يتسنى الإنتهاء منها لحتى الآن وسيتم العمل على تنظيمها بحلول الربع الثاني من العام
24	OA	>24	M		***Legal Committee (071-BBS-OA-012-18):*** SB does not have currently a dedicated Legal Committee to supervise legal actions handled by LSU (e.g. lawsuits' progress status, selection of external lawyers, review of legal fees and advances trend analysis etc.).	***Karam Bechara (General Manager):***Under studying
25	OA	>24	M		***BCU Procedure (033-BBS-OA-007-19):*** BCU tasks are not governed by any procedure defining the processes and the roles & responsibilities of this unit.	***Karam Bechara (General Manager):*** Ops is putting a plan to update and prepare procedure for the whole bank. The procedure for BCU is on plan
26	OA	>24	M		***Other BCU Monitoring Tasks (033-BBS-OA-007-19):*** The results of the follow-ups conducted by BCU over the branch audit observations were not reported to SB Management and were not backed-up by sufficient supporting documents; also, no visits were being conducted by BCU to the related branches. Moreover, no report was generated by BCU showing the authorizations granted by the latter on specific T24 transactions such as the early liquidation of LDs, the settlement of cash differences.	***Karam Bechara (General Manager):***We will consider the visits in the coming period ,
27	OA	>24	M		***Keys & Combinations' Monitoring (033-BBS-OA-007-19):*** Although required by the "Keys & Combination" procedure, the BCU control on the distribution of keys and combinations was not being conducted on yearly basis for the majority of SB branches.	***Karam Bechara (General Manager):***we will manage new plan to visit branches during quarter two 2025

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
28	OA	>24	M		***CIFs' Amendments (033-BBS-OA-007-19):*** The amendments over customers' names can be authorized by Branches instead of being authorized only by Branch Coordination. In addition, CIF amendments report did not include amendments others than the one related to customers' names and also contained some errors (e.g. names amendment, inputter, etc.). Moreover, the Compliance access on the amendment of some CIF fields on T24 ("Title.Code", the companion/father/mother middle names) was not restricted although required by internal procedures.	***Karam Bechara (General Manager):*** CRF was cancelled by GTS. Will be solved in the new banking system the CIF amendment report, now generated by BCU department. We suggest to downgrade
29	OA	>24	M		***CIFs Cleansing Process (033-BBS-OA-007-19):***84% of the existing CIFs needs to be cleansed in order to comply with the Combating Money Laundering Commission (CMLC) requirements. In addition, the cleansing date of 90% of the CIFs related to high risk clients' was greater than one year.	***Karam Bechara (General Manager):*** CRF finished . We are live / restriction 47 /BT log number C39775 and in Q4 , we are in mission , daily follow up for high / medium / low risk with branches and more focus on high risk customer to make the result zero , number CIF need cleansing was 14279 and now 10670 till end of mar 2025
30	OA	>24	M		***Monitoring of Branches' Derogations (033-BBS-OA-007-19):*** BCU controls reports did not include the value dates' amendments related to transactions executed via open version on T24 and the commission waived transactions.	***Karam Bechara (General Manager):***A request was sent to BBL to create the related reports. This request was cancelled due to the decision to change Syria Core Banking System. We extract report from web report for value date and checked by our unit this issue to be low"
31	OA	>24	M		***Irregularities at the System Level (075-BBS-OA-015-19):*** Weaknesses at core banking system level (T24) were noted the posting date was subject to modification (led in 4 cases to overdrawing the suspense account) and no authorization layers were set for the processing of outgoing transfers via clearing and RTGS on T24. **Audit Comment:** The	***Karam Bechara (General Manager):*** we will solve this issue when t new core banking system is applied.

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
					posting date is still subject to modification by the unit.	
32	OA	>24	M		***Risk Management Policies, Procedures, and Charters (118-BBS-OA-023-19):*** The RCU did not develop procedures that include risk management activities performed by the Unit, the process of booking and reporting operational losses, the rules used in the risk reports and BCP plan. **Audit Comment:** The Operational Loss Reporting & Booking procedure is still draft. In addition, the RCU did not develop a procedure for the BCP plan and drills performed.	***Karam Bechara (General Manager):*** The draft of the operational loss reporting & booking procedure has been finalized and submitted to OSP review and feedback. Moreover, the draft of BCP plan and Strategy has also been submitted to Audit review so we can create a comprehensive procedure based on it.
33	OA	>24	M		***Standardized Framework and Risk and Control Self-Assessment (RCSA) (118-BBS-OA-023-19):*** The RCU did not implement the RCSA technique for continuously identifying and assessing risks and controls of the business processes as required by the operational risk policy nor Standardized Framework by mapping the Bank's activities into eight processes and specifying their exposure indicator. Noting that the Bank did not establish an operational risk thresholds or limits for inherent and residual risks as required by CBoS decree No 390 and Basel principles Audit Comment: Issue still pending, as the RCU is still in the process of implementing the RCSA technique in all branches and departments. (In Q1 2021, the RCU conducted the RCSA for SYGS system).	***Karam Bechara (General Manager):*** We will complete the required process during the next period. Noting that the operational risk unit lacks human resources

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
34	OA	>24	M		***Interest Rate Risk in the Banking Book (118-BBS-OA-023-19):***The RCU did not apply the Interest rate risk in the banking book"(IRRBB) issued by Basel on April 2016 instead of July 2005 where the main changes regarding the IRRBB measurement were related to the application of variable interest rate shock scenarios and vulnerabilities arising from potential behavioral reactions of bank's customers such as prepayment risk.	***Karam Bechara (General Manager):*** Market & Liquidity Risk: Due to the lower importance of interest rate risk since it is controlled and fixed not floating, the risk is minimum.
35	OA	>24	M		***Business Continuity Plan and Drill Reports (118-BBS-OA-023-19):*** The RCU did not properly challenge the BCP plans and drill reports performed to ensure that arising weaknesses were corrected. Hence, we noted irregularities in the BCP plans and drill reports such as not identifying relocation sites for units, not assigning replacements for key positions and not mentioning any comments regarding difficulties faced for some drill reports. noting that the RCU performed drill to 18 units out of 24 and not all the BCPs plans prepared were signed by the concerned parties	***Karam Bechara (General Manager):***Please consider it rectified, as for that on Feb 2024 a drill for 20 units have been carried out successfully
36	OA	>24	M		***CAR procedure and business rules document (053-BBS-OA-012-20):***Regulatory CAR procedure and business rules documentation were not prepared, specifying the roles and responsibilities over the CAR process, business rules, risk parameters, etc.	***Karam Bechara (General Manager):*** The CAR procedure document has been prepared and presented to OSP, then it should be presented to related parties to add any comments, after finalizing that it will be presented to the BOD for approval.
37	OA	>24	M		***CMLC Enquiries (089-BBS-OA-021-20):***7 clients were blocked by the CMLC; yet, their related accounts were subject to the Bank's commissions and interests which is not in compliance with the CMLC decision # 19 (Article 35). In addition, we checked 10 letters sent by the CMLC in 2021 that included 27 names for inspection and noted that 1 client	***Karam Bechara (General Manager):*** We will take into consideration this issue in the new update of globus

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
					matched with the CMLC names; yet, he was not reported to the latter.	
38	OA	>24	M		***On-boarding Clients (089-BBS-OA-021-20):***Although branches are required to obtain Compliance clearance before the opening of any CIF especially for high risk clients (i.e. related to holding co., offshore, foreign clients, etc.), we noted that 3 CIFs were opened without obtaining Compliance clearance (2 accounts were subject to transactions; 2 were closed after audit) & 4 CIFs for which the Compliance clearance was obtained after the CIFs' opening (3 accounts were subject to transactions before compliance clearance ; 1 of the 3 was closed after audit). **Audit Comment:** The church is a NGOs as per decree # 19; noting that before the issuance of the decree; the practice followed by the Compliance was to ask branches to fill-in a compliance clearance form before the opening of any CIF related to church.	***Karam Bechara (General Manager):***1-- In 2017 and 2018 the Churches no need to acceptance clearance) for the foreign client the branch sends an acceptance but we didn't approval to opened it.2- In regards of the delays CIF 218551 please refer to the branch CIF 553784 She is not a PEP in We Check CIF 408762 No need acceptance CIF 267222 opened with the GM approval, the acceptance clearance took time until the branch provided us with all the need documents. CIF is closed now
39	OA	>24	M		***AML Risk Assessment (089-BBS-OA-021-20):*** There is a lack of compliance with the Combatting Money Laundering Commission (CMLC) decision #19 regarding the assessment and identification of the risk associated with new products and activities. **Audit comment:** Issue to be reassessed next follow-up	***Karam Bechara (General Manager):*** Compliance Unit : Farah Abo Alhawa informs us of new products before they are released

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
40	OA	06 - 12	M		***HR Policy and Procedure (057-BBS-OA-016-22):*** Absence of procedure governing the Human Resources processes and defining the roles and responsibilities of the Unit. In addition, the existence HR policy is outdated (dated back to 2013) and not approved by the Board of Directors (rectified, the HR policy is updated and approved by the BOD on Mar 2023). **Audit comment:** The HR policy is updated and approved by the BOD, however the procedure governing the Human Resources processes and defining the roles and responsibilities of the Unit is still not yet prepared	***Karam Bechara (General Manager):***Rectified
41	OA	06 - 12	M		***BBS Employees' Leaves (057-BBS-OA-016-22):*** Employees' leaves management:25 % of the tested annual leaves forms filled by the employees and processed manually by the HR on the system showed several discrepancies in terms of the form existence, required approvals/signatures, incorrectly filled in and mismatches between the number or date of annual leave days on the form and the ones filed on the auto ID system (16 out of 64 annual leaves forms).Consecutive days of leave and deactivation of profiles: We reviewed the annual leaves taken by SB employees during 2019, 2020, 2021 and noted41% did not take 10 consecutive days during 2019 (96 out of 236 employees), 38%employees did not take 10 consecutive days during 2020 (100 out of 260 SB employees),43% employees did not take 10 consecutive days during 2021(116 out of 272 SB employees).In addition T24 profiles related to 3 HR employees were not deactivated during their leaves in 8 cases out of 15.	***Karam Bechara (General Manager):*** * Discrepancies in Annual Leave Forms: We have taken corrective measures to address the discrepancies identified in 25% of the annual leave forms. The necessary adjustments have been implemented, and we kindly request that this issue be removed from the audit findings. *Consecutive Days of Leave: Regarding the observation that a significant percentage of employees did not take 10 consecutive days of leave in 2019, 2020, and 2021, we are actively sending periodic reminders to encourage employees to take their vacation days. However, many employees face challenges in doing so due to work demands.

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
42	OA	06 - 12	M		***Job Requirements & Job Descriptions (057-BBS-OA-016-22):*** Education and experience requirements: 50% of the tested sample the employees did not meet the education and experience levels required in their Job Descriptions (15 out of 30 employees). In addition, 13% of the tested sample the employee's certificate was not obtained/ not authenticated by the concerned parties (4 out of 30 employees). Job Descriptions: 35% of SB positions listed by HR lacked a job description (44 out of 125 bank positions), out of which 9% related to the HR unit (4 out of 44 positions). 21 JD were prepared and 4 positions were replaced based on the last approval org-chart. It is worth noting that 2 out of the 4 replaced positions lacked job description.	***Karam Bechara (General Manager):*** We have taken immediate action to address the education and experience requirements by ensuring that new hires meet the necessary qualifications outlined in their job descriptions. As for job descriptions, all have been finalized except for the IT which is still being worked on by Head of IT
43	OA	06 - 12	M		***Employees' Allowances (057-BBS-OA-016-22):*** Phone allowances The absence of defined criteria to grant phone allowance to SB employee. Furthermore, the current predefined list for the employees benefiting from phone allowance is not updated. In addition 80% of the tested phone invoices paid to different SB employees who were not mentioned on the preapproved phone allowance list (8 out of 10 paid invoices).Other allowances The allowances granted to consultants (lawyers, engineers) are not mentioned in their related contracts. Hence, it is not included in the taxable income as required by Ministry of Finance regulation. **Audit comment:** All allowances should be included in the consultant contract as other allowances.	***Karam Bechara (General Manager):*** Regarding phone allowance, we will make improvements to our criteria and update the list to guarantee accuracy and fairness in approving phone allowances. Starting 2022 we mentioned in the consultant contract in addition to the basic salary all allowances (food and transportation) the allowances excluding extra salary, schooling allowance and phone allowance, as it is subject to changes

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
44	OA	06 - 12	M		***HR Committee's Charter and Meetings (057-BBS-OA-016-22):*** The HR committee charter is outdated and not approved by the Board of Directors committee. Moreover, the HR committee did not meet as required in the charter during 2019, 2020, 2021.	***Karam Bechara (General Manager):*** The human resources committee charter was approved during the Board of Directors meeting on 11-08-2022. We acknowledge the need to reactivate the HR committee and will take into consideration the mentioned observation.
45	OA	06 - 12	M		***Authorized Signatures Booklet (057-BBS-OA-016-22):*** The Authorized Signatures' Booklet kept at the HR unit is outdated and the date of granting signatures to the bank employees is not documented at the HR unit. Moreover, segregation of duties is not well preserved while granting signature as we noted 2 employees who are relatives work in the same branch, one of them has the input function on T24 and the other has the authorization function and hold A signature. **Audit comment:** Issue is downgraded to M, since the List of Authorized Signatures' is updated However still not approved by CBoS and the list of relatives is incomplete (missing the relation between head of CAD and his spouse "Senior Card Officer"	***Karam Bechara (General Manager):*** will be sent to CBoS during the next week
46	ITA	0 - 06	M		***Threat detection system SIEM (SB-IT-005-24):***The absence of threat detection system that collects data from organization's applications, devices, servers and users in real-time and identifies activity that deviates from the norm with real-time analysis, and takes appropriate action.	***Karam Bechara (General Manager):*** Information Security and Access Management unit***:*** in addition to the previous points, please take the following into consideration: 1- I am a new employee assigned to a newly established department, working individually. Therefore, I require specialized training in this filed in alignment with HR management principles and Unit need. 2- Furthermore, there are no approved policies or procedures in place to define the workflow, and there is currently no appointed Head of Information Security Unit to assume responsibility for making such decisions.

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
47	ITA	0 - 06	M		***Log files editing (SB-IT-005-24):*** *Log* files stored by Kiwi Syslog Server (that includes a centralized, easy-to-use web console to view, search, and filter syslog messages) are text files and can be edited by syslog admin user, that makes it possible to delete the trace of any change.	***Karam Bechara (General Manager):*** Information Security and Access Management unit: in addition to the previous points, please take the following into consideration: 1- I am a new employee assigned to a newly established department, working individually. Therefore, I require specialized training in this filed in alignment with HR management principles and Unit need. 2- Furthermore, there are no approved policies or procedures in place to define the workflow, and there is currently no appointed Head of Information Security Unit to assume responsibility for making such decisions. Firas Homaysi - Head of IT: Out of IT scope
48	ITA	0 - 06	M		***Policies and procedures (SB-IT-005-24):*** The absence of policies and procedures governing the IT processes and defining the roles and responsibilities of the network unit.	***Karam Bechara (General Manager):*** Maya Sleiman - Head of organization support and procedure: OSP is still working with the IT department to finalize the related policies and procedures and obtain the necessary approvals from the concerned parties (deadline: end of Q3 2025). Firas Homaysi - Head of IT: The responsible party for Developing Policies and Procedures is the OSP Unit. For the development of these documentation (policy, procedure, form), the OSP unit at Byblos Syria was not prepared in regards to resources and HOW-TO to develop such documentation. Byblos Group also have not provided such templates due to non-availability. IT team at SB, although this is not one of its core tasks, have initiated an effort to develop these documents as part of the policy and procedure development project. Deadline End of Q3 2025

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
49	ITA	0 - 06	M		***Cabling documentation (SB-IT-005-24):*** Cable documentation does not exist for bank network, and the team depends on executing commands on devices when they need to know how devices are connected. It is partially exist for Data Center in NetBox System.	**Karam Bechara (General Manager):** Head of IT- Mr. Firas Homaysi: No comment to add Technial recommendation was not approved by IT Netowrk team.
50	ITA	0 - 06	M		***Job description (SB-IT-005-24):***JD that specifies duties, roles and responsibilities for network team does not exist.	***Karam Bechara (General Manager):***Head of IT- Mr. Firas Homaysi: Final versions of IT JDs are under update. Deadline Q3 2025
51	OA	0 - 06	M		***IFRS9 - ECL Business Rules (SB-OA-018-24)***:IFRS9 - ECL business rules were not formally defined in a document that serves as a reference aiming at specifying how data is prepared, specifying the business rules related to PD, LGD, calculation of marginal PD, effective interest rate discount, LGD coverage and mitigation etc., detailing also the risks' parameters that should be embedded in the system (e.g. exposures to sovereign, local currency, subsidiaries risks)	***Karam Bechara (General Manager):***ECL calculation procedure which signed by board on 30-10-2023 includes all description of the ECL calculation and reporting process including the existing controls, the tools and systems used for the ECL calculation, and we will work on documenting the business rules with accounting unit, as specifying how data is prepared by the accounting & MIS (Data flow, past due date, user profiles...), related to finance department. Specifying how the VIS system will handle PD, LGD, CCF, EIR and Mitigations, we asked TAG Company to provide us with a user guide. Granting users profiles and the needed approvals, this is under the responsibility of the information security, and until that I'm taking the approval of management on any changes on authentications granted to users. Regarding ensuring the documentation of overrides to risk parameters this will be taken into consideration

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
52	OA	0 - 06	M		***Policy & PD Procedure (SB-OA-018-24):*** The existing procedure and ECL policy were missing some areas such as testing. Also, some information were not mentioned such as LGs over banks stamps & commissions, PDs for unrated banks, and local banks exposures in foreign currency, discounting days used to calculate the marginal PD for banks ECL. Moreover, IFRS9 – ECL policies, procedures (classification policy, ECL policy, CPPM and LRU procedure "write-off" are not reviewed by the BOD every year as per CBoS regulation article 1	***Karam Bechara (General Manager):*** § Regarding first point this will be included in the policy when reviewed. § Regarding second point, the PD for unrated banks which is equal to 2.64% will be mentioned in the policy when reviewed, regarding the PD for LCY exposures at local banks it was amended to be in compliance with the decision No 4 since quarter 2/2024 (the PD changed to be 0.05%). § Regarding third point this will be considered to be mentioned in the policy when reviewed § Regarding the fourth point, this project will be considered upon the availability of needed tools and resources which are not available at current time. § Regarding the review of policies and procedures, that will be done and escalated to the Board.
53	OA	0 - 06	M		***Probability Weighted Scenarios (SB-OA-018-24):***SB used to derive the final PIT PD an equally weighted percentage for all possible economic outcomes rather than taking into account the impact of different scenarios (e.g. COVID-19) on the weights as required by CBoS.	***Karam Bechara (General Manager):*** The bank used equal possibilities of occurrence for each scenario (the possibility of growth or drop of the economy) but the parameters inside each scenario reflect the different values resulted from the scenario (noting that as per decision no 4 page 18 we shouldn't be biased to any of the applied من خالل استخدام سيناريوهات ال تأخذ الحالة ألفضل وال الحالة ألس :scenarios ز ويجب أن يكون التقدير غريمتحري وأ(noting that the macroeconomic factors which are adopted in the calculation is provided to all local banks by CBoS based on circular no 6515 dated 24/10/2019 followed by circular no 2457 dated 28/04/2020). Any way to be more accurate we will arrange with TAG Company to provide us with new

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
						statistical study enabling us to apply the updated predicted status of the economy, if available.
54	OA	0 - 06	M		***ECL for Lebanese banks (SB-OA-018-24):*** As per Decision no. 15 dated February 2022 issued by the Credit Money Council, the expected credit loss provision should reach at the end of 2022 at least 30% of the total direct credit Lebanese banks exposures. However, we noted that the ECL provision booked at 31 December 2024 still represents 18.58 % of the total direct credit Lebanese banks exposures.	***Karam Bechara (General Manager):*** Wael Darwish - Acting Chief Financial Officer The matter of achieving the coverage ratio of 30%, which is the minimum specified by the decision of the credit and Monetary Council, is not solely the responsibility of the Finance and RiskDepartments. It is a decision made at the senior management and Board of Directors level, that is provided with reports showing the coverage ratio on balances in Lebanon. Anyway the process of increasing provisions is linked to several factors, including the bank's ability to purchase foreign currency, the bank's ability to ensure sufficient SYP liquidity to purchase foreign currency, and the availability of necessary revenues within the income statement. Raghad Saad - Portfolio Credit Risk Senior Officer: As per our discussions with CBoS we couldn't reach the required percentage during the mentioned period for the high impacts on our financials, so it was agreed with CBoS to

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
						form the required ECL gradually, by using the available resources of foreign currencies.
55	OA	0 - 06	M		***Retail Transition Matrices (SB-OA-018-24):*** The final PD was calculated by producing an average quarterly default rate matrix for Auto loan under stage 1 is 22.02%. However, no auto loan was granted during this period and classified as stage 1.	***Karam Bechara (General Manager):*** As we have no auto loan exposure classified as stage 2 the PD appeared to be 0%, noting that the criteria of calculating the PD in TAG is: (the PD shouldn't be below 0.05% in case of existence of exposure). Although the mentioned issue doesn't have financial effect right now, as we don't have exposure of CAR loans stage 1 and 2 currently, but we will arrange with TAG company to validate the historical data

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
56	OA	0 - 06	M		***ACCD and Banks' exposures (SB-OA-018-24):***1- According to CBOS IFRS9 Circular Article 13 Accidental creditor debtor accounts (ACCD) caused by bank interests or commissions should not be classified in stage 3. We noted 717 accounts were classified in stage 3 ACCD exposures, amounting to SYP 158 million with 100% ECL coverage. We selected a sample of 282 ACCD accounts classified in stage 3 with total exposure as of March 31, 2024, SYP 153 million to note that 269 accounts with total exposure as of March 31, 2024, amounting to SYP 10 million were subject to bank interests or commissions and classified in stage 3 (the risk management started reviewing this account during April 2024). 2- According to CBOS IFRS9 Circular Article 3 and IFRS9 standard point 3.1.1, an entity shall recognize a financial asset or a financial liability in its statement of financial position when, and only when, the entity becomes party to the contractual provisions of the instrument. While reviewing the banks significant increase in credit risk "SICR"5 and staging process, we noted that SB has not yet defined the date of initial recognition of banks' exposure to use it as a criteria to monitor SICR and allocate an adequate, objective and consistent stage to the banks' exposure. 3- Past due days for commercial clients are calculated manually using an Excel spreadsheet.	**Karam Bechara (General Manager):** Raghad Saad - Portfolio Credit Risk Senior Officer § Regarding the first point, as per our discussion and as I informed you before, I discovered the wrong implementation of staging for ACCD since I have handled my duties in portfolio credit risk unit (in the beginning of April 2024) and I did the corrective action immediately, before the audit mission on IFRS9 (which started on 22- May 2024) Regarding the second point: we will consider the Account Opening date as the first recognition for the banks and we will check the Rating of them in (Moody's, S&P and Fitch) in order to put the proper rating. § The third point isrelated to accounting unit as they prepare upload files (noting that T24 doesn't contain any tool to calculate pat due days) Silva Dermesrobian (Head of Commercial Banking Department, Commercial Banking): Our banking system doesn't support us to automatically calculate the past due date "oldest maturity date" and staging of our commercial clients § the excel includes protected formula where once the past due date is entered the proper staging is displayed § The staging is reviewed at different levels being: commercial level: through the head of the unit and department, in addition of being in parallel reviewed by our credit risk review officer and later on by our portfolio credit risk senior officer before being submitted to our accounting team for implementation. Based on the mentioned above, I believe that for the time being enough control is placed on the staging process and the risk of this issue shall be considered

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						low. This issue might be rectified later in case we are able to upgrade our banking system or move on to a new core banking system.

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
57	OA	0 - 06	M		***Banks' PD & LGD Scale (SB-OA-018-24):*** Non-compliance with CBoS rules / regulation & internal policy/procedure in-terms of the PDs & LGDs used in the banks ECL calculation	***Karam Bechara (General Manager):***Regarding the second point we adopted the more conservative rate which is for CIF161025 D and for CIF167259 B. (B is worse than B+ and D is worse than CCC) so the adopted rating are correct comparing to the country. this point will be mentioned in the policy § Regarding point 3, The mentioned cases are related to stamps and commissions (which are accumulated during years, and we couldn't receive it) or LGs which are under follow up by legal department since more than one year And as mentioned in the decision No 4 the LGD shouldn't be below 100% if the PD days are more than 365 days § Regarding point 4, as the LG is related to external bank (outside Syria) and from judgmental point of view and to be more conservative we used the highest parameters (as the LG is under reservation based on the beneficiary request and the bank sent swift to Arab bank (the client) and no response was received, as per information provided by trade finance), the second mentioned LG is also related to external party (outside Syria) and the LG is under reservation and should be transferred to the beneficiary with no possibility due to the sanction (as per information provided by trade finance). Hence the LGs used is correct and will be reflected in the policy.

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
58	OA	0 - 06	M		***LGD on Loans Exposure (SB-OA-018-24):*** Errors were identified in the LGD mitigations for retail and corporate exposures. In fact, the cash collateral and real estate guarantees for 25 (Retail & corporate) were not deducted from the related exposures although they meet the CBoS requirements. In addition, Insurance policy was not used as an eligible collateral although it meets the CBOS requirements (the insurance policy was identified on VIS system as mitigation).	***Karam Bechara (General Manager):***Wael Darwish - Chief Financial Officer: It's already used as eligible collateral, and you can check the collateral files related to the Q2-Q3-Q4 2024 in the attached file as for the second point as started by Mrs. Regards. Raghad Saad - Portfolio Credit Risk Senior Officer: Regarding the mentioned points they related to accounting unit as they are the business owner of the collateral file. Regarding the second point, we will arrange with VIS Company to include the insurance policies as a risk mitigation after taking the approval from Central bank of Syria
59	ITA	0 - 06	M		***SB Evacuation plan is incomplete (SB-IT-01-25):***SB Evacuation plan is incomplete as there is no plan to evacuate the employees in the Head Office and Adir building in case of disaster. However, there is an evacuation plan for branches while it is missing the follows: - Not approved by the BOD, it was mentioned in a meeting without being presented. As per Corporate Governance Guide for Traditional Banks, "One of Board of directors' responsibilities is approving the bank's important objectives, strategies, plans and policies in a proper, specific and periodic manner". - No drills conducted for all branches (it is only conducted in Abbasyeen branch).	***Karam Bechara (General Manager):*** The evacuation plan will be revised to encompass all the bank employees and the needed approvals will be obtained in Q3 2025 Risk Committee. Following this, the needed drill will be conducted, subject to the availability of sufficient human resource in the operational risk unit.

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
60	ITA	0 - 06	M		***Disaster Recovery Site for employees is not appropriate (SB-IT-01-25):*** As per Credit and Money Council decision number 391 "Providing an alternate location to continue work far enough from the geographical location of the work where interruption occurred in order to avoid the risks that caused the events at the first location. And to ensure that the alternate site has sufficient infrastructure, equipment and systems necessary to revive operations at the first site." SB Disaster recovery site location for employees in the head quarter building (Meeting Room 2nd floor) is not appropriate. As it should be far enough from the location of the disaster, and it should be provided with sufficient infrastructure, equipment and systems.	***Karam Bechara (General Manager):*** The discussion about the alternate location were already begun last year, but was temporary postponed. And it will be revisited with the BCP team in the next period. The only location of the DR site for employees that was feasible is the Head office – floor 2- meeting room. Other suggested alternatives were not suitable for conducting the required BCP drill. Schedule depends on the availability of a more suitable DR location based on Top Management decision.
61	ITA	0 - 06	M		***Succession Plan (SB-IT-01-25):*** Succession plan for year 2024 provided by HR is incomplete and outdated. -For instance: 1- The succession plan did not include the successors of: Head of business development, Acting head of loan recovery, Head of organization support and procedure and Branch operation management. 2- Several employees and successors mentioned in the succession plan resigned or were transferred to other departments: Deputy General Manager, – Head of Branch Management, – Head of Network unit etc.	***Karam Bechara (General Manager):*** We will conduct a comprehensive review of the current succession plan to identify all key roles and ensure that appropriate successors are designated for each position. Once the updated succession plan is complete, we will submit it for review and approval by the Board of Directors.

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
62	ITA	>24	L		***Windows, SQL Server and Audit Trail Weaknesses (149-BBS-IT-024-18):*** SigCap application version (5.8.10/2.28) is running on an outdated Windows operating system (2003), and SQL server (2005 Standard Edition), which are not supported by Microsoft; therefore automatic fixes, updates or online technical assistance and security updates are no longer provided in order to protect the server from harmful viruses and other malicious software. In addition, the audit trail on the SQL server database is currently not enabled to be able to trace any amendment made on the database level. Such exception would might lead to security weaknesses and will expose the environment to harmful viruses and malicious software. We recommend the IT department to study the possibility of upgrading the Windows and SQL servers to an updated version supported by Microsoft and compatible with the SigCap application. In addition, IT department should ensure that the running SigCap application is still under support, else application upgrade should be considered. On the other hand, the audit trail on the SQL database level should be consequently enabled to log administrators' activities.	***Karam Bechara (General Manager)***:Core Banking Project Deadline, under review by the Top Management
63	ITA	>24	L		***SigCap Application "Expiry date" (149-BBS-IT-024-18):*** We were informed during our fieldwork that the "expiry date" of any signature can't be inputed on the same day. As a turn around solution, SigCap/Capture users are requesting from IT support to change the workstation date/time to a date/time -1 in order to be able to input the correct date. However, this will impact the application logs. We recommend IT department in coordination with the provider to assess the possibility of solving this	***Karam Bechara (General Manager):***Core Banking Project Deadline, under review by the Top Management

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
					weakness. If this is not possible, the application Unit should consider upgrading the SigCap application to a newest version that can solve the application weakness.	
64	ITA	>24	L		***SigCap Password Policy weaknesses (149-BBS-IT-024-18):***1- The SigCap application security policy doesn't allow to set "special character" and "alpha numeric" requirements. In addition, we noticed that SigCap application security policy doesn't force users to change their password on timely basis. Hence, SigCap users are able to input weak passwords that can be easily guessed without being changed. Furthermore, "unsuccessful login attempts" was not enabled to minimize the risk of unsuccessful password retries. On the other hand we also noticed that SigCap and Active Directory usernames are not standardized. We noticed that 18 users have difference in their user names. We recommend IT department to coordinate with SigCap business owner and assess the possibility of integrating bank SigCap and Windows Active Directory to allow SigCap Retrieve/Capture users to be authenticated using the Windows credentials. Hence, Windows password policies will be applied to minimize the risk of password retries.	***Karam Bechara (General Manager)***:Core Banking Project Deadline, under review by the Top Management

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
65	ITA	>24	L		***Manual Reconciliation Process (BBS - SYGS-2019):*** Currently, the reconciliation between SyGS and T24 is being manually performed by the Operations Department (OD) at the SyGS end of daily session. Several steps are being manually performed to check the inward and outward transactions, and to compare the balances between the two systems. In addition, on the next working day, the Finance & Treasury Department (FTD) is manually checking the balances between CBoS account and SyGS. However, a systematic reconciliation process is currently not in place to detect discrepancies in transactions' details. We recommend SB to ensure that transactions details are reconciled between SyGS and T24, and to study the possibility of automating the reconciliation process to ensure that all unmatched transactions are promptly identified and corrected.It is worth mentioning that a decision was taken by the FTD to enhance the reconciliation process by uploading on T24 system the report generated from SyGS to automatically match each transaction processed with T24 data. **Audit comments:** We consider that an automated reconciliation process should be in place. However, the process is being manually performed with proper control. Issue will be downgraded to Low.	***Karam Bechara (General Manager):***Wael Darwish (Acting Chief Financial Officer): Starting August 2019 we are doing the following reconciliation process on SYGS account: • On daily basis, Reconciliation & Financial Control Officer extracts the data from SYGS system on excel sheet. • Reconciliation & Financial Control Officer matches the data between our ledger (Globus T24) and statement (SYGS) on excel sheet. • In case of discrepancy in the value date/amount/reference, the Reconciliation & Financial control Officer exerts all efforts to identify the reason of discrepancy. In some cases, the difference is justified according to the type of transactions (e.g. difference in transactions reference, difference in value dates, etc…). • after finishing the reconciliation process on excel sheet, Reconciliation & Financial Control Officer matches all amounts in our ledger on Globus T24 (account 1000167001010). • For the unjustified records, the Reconciliation & Financial control Officer follows-up via email with Transfers & Payment Dept. to adjust the mismatch. Our recommendation We need to interface between T24 and SYGS to extract the data and uploaded automatically to T24. noting that the due date is Q2 – 2024.

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
66	ITA	>24	L		***SyGS Logs and Audit Trail (BBS - SYGS-2019):*** We noticed during our fieldwork that a report containing all SyGS transactions with their respective Inputter and Authorizer is not in place. It is worth mentioning that SyGS transactions details can be extracted without the Inputter and Authorizer. In addition, the returned transactions reasons field "Sender to Received Information" can't be also extracted. On the other hand, we noticed that an audit trail maintaining all administrator, LSO and RSO users' activities can't be extracted to be reviewed. We recommend SB to coordinate with CBoS to check if an audit trail is in place and can be extracted. In addition, to check the possibility to extract SyGS transactions with their respective Inputter, Authorizer, and "Sender to Received Information".	***Karam Bechara (General Manager):****Head of IT- Mr. Firas Homaysi: RTGS Project is freezed by the Central Bank. Waiting for their new official updates*
67	ITA	>24	L		***Conventional Username & Password is Being Used by All Users to Login (BBS-T24 System-2020):***Since creation of Globus/T24 environment, one shared UNIX account (syrlive) is being used by all users, before they type their T24 user name and password to access T24 live environment. Consequently, with the use of this UNIX shared credentials, password-aging policy was not imposed at UNIX level. We recommend either creating one UNIX account for each user or find an alternative solution to minimize the above risk.	***Karam Bechara (General Manager)***:Core Banking Project Deadline, under review by the Top Management

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
68	ITA	>24	L		***Conventional Usernames and Passwords on the UNIX Level (BBS-T24 System-2020):*** We detected a set of UNIX profiles on the T24 backup and Disaster recovery servers having conventional passwords, which might lead to unauthorized access and changes. In addition, some of these users are not identified in the etc_ftpusers that restricts users from extracting files through FTP service. Syriabak: 1-cobuserb, 2- fttapes, 3- steriasy, 4- fcbackup, 5-juport, 6-switchsy. Srvsrdr: 1- Juport, 2-ftpsal, 3-fttapes, 4-ofsintf, 5-ofsresy,6-ofscard, 7- steriasy, 8-ofsrtsy, 9-ftpsalsy, 10-ftpcsc, 11-syriats, 12-COBMENU, 13-syriabk4, 14-TCSERVER.We recommend IT department to assess the T24 UNIX users' profiles (where password policy is not applied), and change the conventional passwords to strong password controls. Delivery date is to be provided.	***Karam Bechara (General Manager)***:Head of IT- Mr. Firas Homays - Q2 2025
69	ITA	>24	L		***Unauthorized Personnel are able to Access Data Center (070-BBS-IT-019-21):*** We checked for policies and procedures for access control software and we found none. Furthermore, we checked the user card access list (Appendix A) and discovered that several bank employees (who have no need to access the DC) have access to the DC. We recommend policies and procedures should be created to identify proper access privilege. The door access list be reviewed and any unneeded access be revoked as soon as possible. Access to the DC should be restricted to IT Department and Control Room. **Audit Comment**: Access List is being printed and signed on regular basis until the implementation of a procedure. Issue downgraded to low.	***Karam Bechara (General Manager):*** OSP is still working with the IT department to finalize the related policies and procedures and obtain the necessary approvals from the concerned parties (deadline: end of Q3 2025)

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
70	OA	>24	L		***Annual Leaves (071-BBS-OA-012-18):*** All staff members did not take 10 consecutive days as required.	***Karam Bechara (General Manager):*** نعمل على استفادة جميع أعضاء ، وبالنسبة للإجازات المتصلة استفاد بعض الدائرة القانونية امن إجازاتهم السابقة على استفادة الباقي قبل حلول العام الجديد أعضاء الدائرة القانونية منها ويتم العمل وبحسب ظروف العمل في الدائرة القانونية سيتم العمل على الاستفادة منها بحسب ظروف العمل، وفي حال تم تدوير الإجازات للعام القادم فإنه سيتم الاستفادة من الإجازات مباشرة في الربع الأول من العام
71	OA	>24	L		***Legal Expenses (071-BBS-OA-012-18):***Advances on legal fees paid to external/internal lawyers were not properly controlled and monitored, which resulted in having 10 advance payments pending in the legal suspense account (reaching seven years in one case). Also, one expense claim was reimbursed although concerned lawyer benefited from an advance on legal fees amounting to SYP 200K; and one advance payment to an internal lawyer was partially borne by the Bank upon the lawyer resignation. **Audit comment:** Although the pending amounts were closed however without any supporting documents to clarity the related expenses as we have been informed by the accounting unit through e-mail. Hence, issue will remain outstanding	***Karam Bechara (General Manager):*** لا يوجد أية مبالغ مالية معلقة لدى الدائرة القانونية حيث أن كافة المبالغ يتم صرفها بناء على فواتير مؤرشفة ومستوفية كافة الشروط، لذلك نرجو العمل على حل هذه الملاحظة، كما أنه يتم التنسيق الدائم مع الأقسام المختصة في حال وجود مبالغ معلقة ليتم التواصل مع المحامين المسؤولين عن الملفات وتزويدنا باللازم وهذا مثبت من خلال مراسلات مكتوبة مع كافة الأطراف.
72	OA	>24	L		***Filing and Safeguarding of Documents (071-BBS-OA-012-18):*** LSU did not keep a copy of ملفات الحجز التنفيذيnor an acknowledgment of receipt from the courts listing the original documents submitted to proceed with the legal action.	***Karam Bechara (General Manager):*** الوثائق الأصلية المتعقلة بملفات العملاء المحولة إلى القسم القانوني لمباشرة الإجراءات القضائية يتم الاحتفاظ فيها في قاصة حديدية مضادة للحريق لحين ايداعها في الصندوق الحديدي في المحكمة أصولاً. لا يوجد أي إجراء قانوني متبع أمام المحاكم في الحصول على جدول موقع بالوثائق المستلمة من قبلها وفي حال تلف أي من هذه الوثائق لأي سبب كان يمكن ترميم الملف بالصور ، الموجودة لدى البنك علما أنه في الملفات الحالية سيتم اعتماد تسليم الوثائق بموجب جداول استلام موقعة من قبل الموظف المختص بالمحكمة

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
73	OA	>24	L		***Legal Processes (071-BBS-OA-012-18):*** A lack of communication was noted between LSU and several stakeholders that resulted two cases where the cash previously deposited at the Court as guarantee was not retrieved despite the closure of the related lawsuits. Moreover, the LSU did not validate all Banks' forms.	***Karam Bechara (General Manager):*** لا يوجد أية مبالغ مالية معلقة لدى الدائرة القانونية حيث أن كافة المبالغ يتم صرفها بناء على فواتير مؤرشفة ومستوفية كافة الشروط ، وتم استرداد الكفالات المعلقة مع مكتب الدكتور متري كما أن التنسيق يتم بشكل دائم ويومي مع باقي الأقسام بحسب حاجة العمل ، كما. تم تعديل معظم نماذج المصرف وتم الحصول على الموافقات المطلوبة وذلك بموجب مراسلات رسمية ، ويتم التنسيق على أعلى مستوى مع باقي الأقسام وفي كل ما يهم مصلحة البنك وهذا أيضا يتم بموجب إما مراسلات مكتوبة أو تواصل التواصل مع مكتب الدكتور موسى متري مباشرة حسب ضرورات العمل ويتم من قبل الإدارة لحل جميع المواضيع العالقة معهم
74	OA	>24	L		***Compliance Procedures (139-BBS-OA-019-17):*** The existing procedures governing the FATCA identification process, were recently implemented/updated; yet, they need to be reviewed to include the forced closure process of the recalcitrant clients' accounts, etc.).	***Karam Bechara (General Manager):*** we are waiting for new Procedures
75	OA	>24	L		***Policies and procedures (075-BBS-OA-015-19):*** The existing procedure governing the transfers and payment processes was recently updated; yet, it needs to be reviewed to include new processes related to RTGS and amend some processes (e.g. decree #508 related to the incoming transfer which was cancelled by the CBoS).	***Karam Bechara (General Manager):*** We are studying the feasibility of applying a middleware between Globus t24 and SYGS, or applying new core banking system.
76	OA	>24	L		***System (118-BBS-OA-023-19):*** Absence of dedicated system to generate risk reports, stress tests, and risk ratios and the RCU used excel sheets that were not protected. In addition, the data received from Accounting unit to be used in the preparation of risk reports was not protected and could be subject to alteration.	***Karam Bechara (General Manager):*** nothing can be done since we are continuing with T24. since the accuracy of our report is very good and its been checked many times, I suggest to downgrade

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77	OA	>24	L		***Trainings (118-BBS-OA-023-19):***While reviewing the trainings attended by the RCU during 2017, 2018 and 2019 we noted that RCU employees did not attend any training related to Basel II and III during 2017, 2018 and 2019.Audit comment: No trainings were taken by the current employees related to Basel II and Basel III	***Karam Bechara (General Manager):***Market and Liquidity: Head of Market and Liquidity Risk attended a ICCAP training in May 2023, which is related to Basel.2 with the Banking and financial institute and attended another training in risk management basel 3 in Oct 2023 with banking and financial institute.
78	OA	>24	L		***Additional Monitoring Tasks (118-BBS-OA-023-19):***RCU did not check employee profiles and system accesses	***Karam Bechara (General Manager):*** This falls under the responsibility of the Information security unit, and beyond the scope of the Operational risk unit.
79	OA	>24	L		***Operational Loss Database (118-BBS-OA-023-19):*** The operational loss database maintained by RCU is an excel register rather than having a dedicated application/system.	***Karam Bechara (General Manager):*** we will start recording the Events on FRONA by business owners during this year. Noting that the operational risk unit lacks human resources
80	OA	>24	L		***Internal Capital Adequacy Assessment Process (ICAAP) (118-BBS-OA-023-19):*** The RCU did not perform the ICAAP document as required by BASEL. Specifically, no stress testing was performed for operational risk and the results related to the stress testing performed for market and credit risk were not taken in consideration while assessing the required capital.	***Karam Bechara (General Manager):*** It is not required now by local regulations. I suggest to remove***.***
81	OA	>24	L		***CAR calculation and reporting processes (053-BBS-OA-012-20):***The CAR calculation and reporting processes are manual including the calculation of the credit risk weighted assets, which represent the major component of the Capital Adequacy Ratio(banks' exposures and related credit ratings, sovereign and loans' exposures).	***Karam Bechara (General Manager):*** There is no possibility to automate the process of calculating the CAR, in the current situation Except through the use of excel, if the automation of the CAR is possible in the light of the new Core banking system, that will definitely be taken into consideration.

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
82	CRA	>24	L		***Documentation (BBS - 2021):*** From the selected sample of 20 files, we noted the following discrepancies in the collateral documentation: ·In 3 cases, the required guarantees by CCC were not obtained: Sharikat Al Inaya Lil Aghthia wal Adwiya Al Toubia (increase of the real estate mortgage up to 125% of the facilities); Pharma Care (pledge over Machinery, which was not yet installed); Technopack (rectified since the proxy to mortgage was waived). In another case (GTSC), the required P/G was obtained after a delay of 3 months since the date of the loan disbursement. ·In all the tested credit facilities against P/Gs or C/Gs, we noted that the guarantors did not sign on the term loan contracts. In one of the above cases (Kubari Group), three of the guarantors did not sign the Offer Letter neither. Although separate P/Gs were signed; yet, the guarantors are equally responsible for paying back the loan and more specifically the monthly bills, and they should be fully aware of. ·In 6 cases, P/G or C/G reminders were outdated (M-Kurdi; Maatouk Drugstores; Kuzbari Group; Sharikat Debbaneh; Sharikat Al Tanmia Alziraiya; Technopack). Rectified in 4 cases (Kurdi; Technopack; Al Tanmia; Maatouk). ·In two cases (Sharikat Debaneh wa Shurakah, Sharikat Al Tanmia Alziraiya), documentation required for the opening of CIF for the guarantor was not obtained. ·Audit comments: the issue remains for points 1 (Pharmacare once the machinery is installed), and point 2. Issue was already downgraded to Low.	***Karam Bechara (General Manager)***: 1-Pharma Care: the pledge over machinery cannot be obtained until the installation of the machinery is completed, already mentioned in our CA and approved by CCC. Meanwhile the client signed a commitment letter to provide us with the required pledge once possible. 2- Term loan contracts: Obtaining guarantors signature over loan contract does not come with a legal necessity & will significantly increase the financial fees charged against notarizing the loan contract (additional 3‰ for each guarantor). Furthermore, signing a separate P/G has the same legal forcibility of obtaining the guarantor signature over the loan contract itself.

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
83	CRA	>24	L		***Annual leaves (BBS - 2021):***We reviewed the current staff vacation days at the commercial department for the year 2021.We noted that the following staff members take 10 consecutive annual leaves in 2021: one SRM (Khaled Khatab); two RMs (Ayham Mourtada and Ruba Zeidan); one ARM (Souha Al-Dayaa) and one Administrative Assistant (Caroline Alsayegh). In addition, the issue applies for the SRM Khaled Khatab for the years 2018, 2019 and 2020.	***Karam Bechara (General Manager):*** issue shall be rectified during 2025.
84	OA	>24	L		***Annual Leave and Job Descriptions (089-BBS-OA-021-20):***five employees did not take 10 consecutive days of vacation in 2019, 2020 or 2021.Moreover, we noted that eight Compliance employees did not deactivate their profiles in T24 in twenty one instances of annual/sick leave in 2019, 2020 and 2021	***Karam Bechara (General Manager):*** we informed compliance team to abide by the bank's instructions to take a 10-day continuous vacation during the year 2025 and to deactivate your profiles in T24 for annual/sick leave
85	OA	>24	L		***Monitoring Reports (089-BBS-OA-021-20):***The changes on the CIFs performed by Compliance (Nationality, status, flag, posting restriction, etc.), were not being subject to any monitoring/control reports in order to ensure their adequacy. Moreover, the checklist that includes the list of reports reviewed by the TMOs each month as proof of monitoring lacked the branch name and number . **Audit comment:** We checked a sample of three list of reports reviewed by the TMOs each month as proof of monitoring to note that one is missing the branch name. Hence, issue is still outstanding	***Karam Bechara (General Manager):***1- We will take into consideration this issue in the new core banking.2-solved

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
86	OA	06 - 12	L		***Internship Candidates (057-BBS-OA-016-22):*** The absence of a defined and documented criteria adopted for the selection of the eligible candidates to follow an internship at the bank (such as the well-known university, the student score, the major etc.). Moreover, the HR unit do not maintain a list of all candidate who applied to the internship with their status and reason of rejection/acceptance. In addition, 100 % of the internship candidates' files included discrepancies such as improperly filling-in the Banking Secrecy Engagement & the internship application, missing the internship candidate attendance sheet form, not obtaining a signed letter from the candidates' university and The candidate attestation letter was not duly signed by 2 authorized persons **Audit comment:** Issue is still outstanding, since the criteria for selecting candidates for internship are still missing	***Karam Bechara (General Manager):*** we are unable to formally document these criteria at this moment as it requires updates to our policies and procedures. Nevertheless, we would like to clarify that we do have well-established criteria that we adhere to in practice. Specifically, candidates must have an internship request from an accredited university in Syria and must be pursuing a major in Economics, Business Administration, Law, or one of the engineering fields required by IT.
87	OA	06 - 12	L		***Organizational Chart & Outlook Address Book (057-BBS-OA-016-22):*** Outlook address book: Upon reconciling the outlook list (live directory) provided from the IT unit with the HR list of resigned and current employees' we noted discrepancies in term of active e-mail related to three resigned employees and resigned employees were still mentioned as reporting to their managers **Audit comment:** Still out standing :Upon reconciling the outlook list (active and disable users) provided from the IT unit with the HR lists we noted 4 resigned employees were still active out of which 2 resigned in 2023. in addition 223 disable users	***Karam Bechara (General Manager):*** Upon any employee resignation, we promptly notify the IT department to take the necessary actions to disable the account of the resigned employee. Therefore, we believe that this matter should be addressed with the IT department for further investigation and resolution.

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
88	ITA	0 - 06	L		***Firewall logs and backups (SB-IT-005-24):*** Gajsheild log is stored locally and backup in done manually.	***Karam Bechara (General Manager):*** *Head of IT- Mr. Firas Homaysi:Firewall Log central storage issue will be solved after the Network Security upgrade project. Deadline: Q3 2025*
89	ITA	0 - 06	L		***Gajshield firewall rules specification (SB-IT-005-24):*** There is no specification to zones in "direction" field and it's set to (Any to Any) in the majority of the rules. § Many rules need to be more specific (rectified).	***Karam Bechara (General Manager):*** *Head of IT- Mr. Firas Homaysi: No comment to add.* *In the network audit mission report, Finding part 1 was validated and confirmed as is by the vendor and part 2 was rectified.*
90	ITA	0 - 06	L		***ATM connection redundancy (SB-IT-005-24):***ATM machines inside branches have redundancy as a part of the branch network. While not all ATMs outside branches have a redundant connectivity. Syriatel-Jounada – Unifarma .	***Karam Bechara (General Manager):*** *Head of IT- Mr. Firas Homaysi: No comment to add* *In the network audit mission report, recommendation was proved Not doable.*
91	ITA	0 - 06	L		***Annual leave days (SB-IT-005-24):*** Two employees did not take 10 consecutive working days of annual leave during last two years.	***Karam Bechara (General Manager):*** *Head of IT- Mr. Firas Homaysi: Still not doable in forseable future*
92	OA	0 - 06	L		***PIT LGD (SB-OA-018-24):*** The forward-looking information (PIT LGD) was not yet incorporated into the calculations of the LGD which is an essential input of the ECL calculation.	***Karam Bechara (General Manager):*** As per our procedure the adopted assets correlation formula is built as per The Vasicek model, which is a mathematical model and adopted and explained clearly in our PD documentation, beside that the implementation of Basel recommendations is not obligatory, noting that we will check with VIS Company the possibility of applying that
93	OA	0 - 06	L		***ECL Process & Manual Interventions (SB-OA-018-24):*** The banks and sovereign ECL calculation for On/Off balance sheet exposures amounted to SYP 57,709 M are not integrated into the ECL calculator tool. However, they are manually calculated using excel spreadsheets and formulas.	***Karam Bechara (General Manager):*** The new core banking (BANKS) include IFRS 9 implementation and once the BANKS system becomes in the live stage the ECL banks could be calculated by system.

N.	Audit Dept	Aging	Risk	New Due Date	Current Situation	Reply as at March 31, 2025
94	OA	0 - 06	L		***Retail Loans Asset Correlation and PIT PD (SB-OA-018-24):*** Inadequate asset correlation formula used for retail residential mortgages and credit cards. This error in the application of the asset correlation formula affects the entire ECL calculation for retail exposures	***Karam Bechara (General Manager):*** As per our procedure the adopted assets correlation formula is built as per The Vasicek model, which is a mathematical model and adopted and explained clearly in our PD documentation, beside that the implementation of Basel recommendations is not obligatory.
95	OA	0 - 06	L		***ECL committee (SB-OA-018-24):*** The ECL committee did not meet during 2022and 2023.	***Karam Bechara (General Manager):*** Not all the members of the IFRS9 committee are assigned during the mentioned period as the bank didn't have head of risk or head of finance, and the committee charter was amended to mention that meeting should be arranged upon necessity.
96	ITA	0 - 06	L		***BCP drills were not performed for all departments in SB (SB-IT-01-25):*** As per Credit and Money Council decision number 391 "The management of the Bank / financial institution must continuously test the business continuity plan, evaluate its effectiveness, and determine it in a manner consistent with the development of circumstances that may result in malfunctions or events that affect the continuity of the bank's business". We noted that not all SB departments/units have BCP, and a drill test was only performed in Feb 2024 for 18 units out of 24 units in a context of training on business continuity plan.	***Karam Bechara (General Manager):*** The development of any BCP relies on defining and understanding the critical tasks of each unit. Unfortunately, each of: Business and development, MIS, Marketing and communications, Organization Support and Procedure units currently miss official policies. Which has hindered the development process. On the other hand, and as for the Human Resources, the plan was initially developed. However, the resignation of the previous head of department during the renewal process period, which necessitated a re-prepare of related BCP, leading to the postponement. And the implementation is scheduled for the next review cycle. Due to the nature of this task of planning and implementing BCP Drill with various units and departments, schedule will follow the availability of sufficient human resource in the operational risk unit.

Appendix II - Index of Cleared/Downgraded/ Replaced Issues in Q1 2025

N.	Audit Dept	Aging	Risk	Status	Current Situation	Reply as at March 31, 2025
1	OA	>24	M	R	**IFRS9 - ECL Policy & PD Procedure (030-BBS-OA-007-20):** The existing SB PD procedure and ECL policy were missing some areas such as reporting and testing processes, the necessary controls, the tools and systems used for the ECL computation. Also, some information were non-compliant with regulatory requirements (e.g. PD related to AA exposures equal 0.02%; however, based on CBoS regulation PD for non-defaulted foreign banks should not be less than 0.05%) Audit comment: the issue remains outstanding since the testing policy is still missing to ensure the correctness of the scenarios used to calculate the ECL is valid. IFRS 9 observation will be assessed during our audit of IFRS 9 this year. **Audit comment:** new audit report was issued and the issue was replaced	***Karam Bechara (General Manager):***rectified should be removed
2	OA	>24	M	R	***IFRS9 - ECL Business Rules (030-BBS-OA-007-20)***:IFRS9 - ECL business rules were not formally defined in a document that serves as a reference aiming at specifying how data is prepared, specifying the business rules related to PD, LGD, calculation of marginal PD, effective interest rate discount, LGD coverage and mitigation etc., detailing also the risks' parameters that should be embedded in the system (e.g. exposures to sovereign, local currency, subsidiaries risks); (partially rectified; some of the business rules were included in the new ECL policy such as the calculation of marginal PD, effective interest rate discount, LGD coverage and mitigation).	***Karam Bechara (General Manager):*** it should be put on the plan of OSP

N.	Audit Dept	Aging	Risk	Status	Current Situation	Reply as at March 31, 2025
					Audit comment: new audit report was issued and the issue was replaced	
3	OA	>24	M	R	***Retail Loans Asset Correlation and PIT PD (030-BBS-OA-007-20):*** Inadequate asset correlation formula used for retail residential mortgages and credit cards. This error in the application of the asset correlation formula affects the entire ECL calculation for retail exposures**.** **Audit comment**: new audit report was issued and the issue was replaced	***Karam Bechara (General Manager):***rectified should be removed
4	OA	>24	M	R	***Probability Weighted Scenarios (030-BBS-OA-007-20):***SB used to derive the final PIT PD an equally weighted percentage for all possible economic outcomes rather than taking into account the impact of different scenarios (e.g. COVID-19) on the weights as required by CBoS. **Audit comment**: new audit report was issued and the issue was replaced	***Karam Bechara (General Manager):*** We are in compliance with the regulator requirements. It should be rectified
5	OA	>24	M	C	***Banks' PD Scale and Staging (030-BBS-OA-007-20):*** SB has not yet defined the date of initial recognition for banks' exposures in order to use it as criteria to monitor the significant increase in credit risk (SICR) and allocate an adequate, objective and consistent stage for banks' exposures. **Audit comment:** Issue closed, new audit report was issued and the issue was mentioned in ACCD and banks' exposure	***Karam Bechara (General Manager):***We are working on the mentioned point and we will consider the Account Opening date as the first recognition for the banks and we will look for the Rating for them in (Moody's, S&P and Fitch) in order to put the proper rating, This issue will be solved during next period, " to be considered low risk". It should be downgraded to Low due to the minimal impact
6	OA	>24	L	R	***PIT LGD (030-BBS-OA-007-20):*** The forward-looking information (PIT LGD) was not yet incorporated into the calculations of the LGD which is an essential input of the ECL calculation. **Audit comment:** new audit report was issued and the issue was replaced	***Karam Bechara (General Manager):***Our calculation comply with BBS policy and CBoS requirement and CBoS allowed Syrian banks to use predefined LGD due to lack of data and due the Syrian crises, which will affect workout LGD accuracy

N.	Audit Dept	Aging	Risk	Status	Current Situation	Reply as at March 31, 2025
7	OA	>24	L	R	***ECL Process & Manual Interventions (030-BBS-OA-007-20):*** The banks and sovereign ECL calculation for On/Off balance sheet exposures amounted to SYP 57,709 M are not integrated into the ECL calculator tool. However, they are manually calculated using excel spreadsheets and formulas. **Audit comment:** new audit report was issued and the issue was replaced	***Karam Bechara (General Manager):*** nothing can be done currently, we will look for alternatives in light of the decision to continue with T24
8	OA	0 - 06	M	C	***VIS Manual/Guidelines & Trainings(SB-OA-009-24):***Absence of VIS system (ECL system) manual and guideline explaining the system functions. And the 2 credit risk employees who are in charge of the ECL calculation did not attend any training related to VIS system since its implementation in 2020. **Audit comment:** the bank obtained a copy of the manual and a training session was followed by the credit risk employee and the other was transferred and no longer related to IFRS9 implementation. Issue is closed	***Karam Bechara (General Manager):*** We asked TAG Company to provide us with a user guide, and a training for all users of the system, beside that and in the light of changing the core banking we could replace TAG system and use the features in the new system (BANKS).
9	CRA	>24	M	C	***Account Performance (BBS - 2021):*** Following our analysis of the account movement for the selected sample, we noted the following discrepancies: additional excess of SYP 200M in one case (Pharma Car) and delays in payment in 3 cases: Aljamaam Samer; Daoud Trading; Sharikat Al Tanmia Alziraiya. The issue was rectified for Pharma Care and Al Tanmia. **Audit comments**: The issue is rectfied for Daoud Trading , the client setted his exposure	***Karam Bechara (General Manager):*** The issue of Daoud trading has been rectified and the client setted his exposure before end of Q1 2025

N.	Audit Dept	Aging	Risk	Status	Current Situation	Reply as at March 31, 2025
10	OA	06 - 12	M	R	***Succession Plan (057-BBS-OA-016-22):*** The absence of succession plans existed for the years 2019, 2020 & 2021, in addition the existence succession plan for year 2022 incomplete and outdated. **Audit comment:** the issue was replaced by Succession Plan (SB-IT-010-24)	***Karam Bechara (General Manager):***Rectified